



INSURANCE AND PENSIONS COMMISSION (IPEC)

REPORT ON

SHORT TERM (NON-LIFE) INSURANCE

FOR THE QUARTER ENDED 30 SEPTEMBER 2013

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List of Acronyms and Abbreviations

GPW	–	Gross Premium Written
IBNR	–	Incurred But Not Reported
IPEC/Commission	–	Insurance and Pensions Commission
NEP	–	Net Earned Premium
NPW	–	Net Premium Written
ROA	-	Return on Assets
ROE	–	Return on Equity
UPR	–	Unearned Premium Reserve

Note: Unless stated otherwise, all monetary figures are in United States Dollars.

Executive Summary

This report details the performance of the non-life insurance industry during the nine months ended 30 September 2013. The number of operational non-life insurers and reinsurers as at 30 September 2013 was twenty three (23) and nine (9) respectively. On the other hand, there were twenty nine (29) insurance brokers and three (3) reinsurance brokers registered. The volume of business written by non-life insurers increased by 8.71%, from \$141.12 million for the period ended 30 September 2012 to \$153.41 million for the period ended 30 September 2013. Out of the total gross premium written by direct non-life insurers \$72.62 million was generated through insurance brokers. Total premium amounting to \$78.39 million was ceded to non-life reinsurers during the period ended 30 September 2013 compared to \$69.51 million ceded in the comparative period in 2012. Reinsurance brokers handled business whose total premium amounted to \$45.48 million during the period under review. Motor and fire insurance remained the dominant classes of business for the short term insurance industry. One non-life insurance company reported a capital position which was significantly below the prudential minimum of \$750,000. Two other insurers had capitalization challenges emanating from the fact that their assets were encumbered as at 30 September 2013. One of the insurers with encumbered assets was not compliant with the minimum solvency margin of 25%. No significant capitalization challenges were observed in respect of non-life reinsurers. However, three brokers reported capital levels which were below \$100,000. Total assets for the non-life insurance industry decreased from \$330.84 million as at 30 June 2013 to \$284.13 million as at 30 September 2013. The decrease was mainly driven by the writing off of some premium debtors. The risk appetite for both direct underwriters and reinsurers remained largely unchanged as evidenced by negligible changes in retention ratios. Total profit after tax for non-life insurers and reinsurers amounted to \$10.50 million and \$6.50 million respectively for the period ended 30 September 2013. Both non-life insurers and reinsurers reported phenomenal growth rates in profit after tax. On the other hand, insurance and reinsurance brokers reported profits amounting to \$0.96 million and \$0.62 million respectively. The liquidity position of the non-life insurers improved as evidenced by the increase in the acid test ratio from 38.80% as at 30 June 2013 to 44.30% as at 30 September 2013. However, there was no significant change in the liquidity of non-life reinsurers.

SECTION A

1. SHORT-TERM (NON-LIFE) INSURANCE COMPANIES

1.1. Number of Direct Non-life Insurers

There were twenty eight (28) registered non-life insurance companies as at 30 September 2013, five (5) of which were not operating. . There were no significant developments during the quarter under review with regards to regulatory action on the non-operational insurers. The Commission registered Safel Insurance Company on 15 October 2013

1.2. Trend and Distribution of Business

The volume of business written by direct non-life insurers continued on the upward trend as evidenced by the increase in gross premium written (GPW) from \$141.12 million reported for the period ended 30 September 2012 to \$153.41 million for the period ended 30 September 2013. The increase in GPW was mainly driven by changes in business generated from motor and fire insurance which amounted to \$7.12 million and \$3.96 million respectively. Table 2 below shows the growth in all classes of insurance.

Notwithstanding the continued upward trend, the volume of business grew at a slower rate during the period under review compared to earlier years after the introduction of the multicurrency regime in 2009 (See Figure 1 below showing GPW written during the period ended 30 September since 2010). The growth rate in GPW for the nine months ended 30 September slowed down from 39.62% in 2011, 21.60% in 2012 and 8.71% in 2013. This may imply that the short term insurance industry is approaching its maturity phase after adoption of the multicurrency regime. Given the abovementioned development, there is a compelling need for the insurance industry to come up with strategies meant to inhibit the slowdown in growth rates of business written. Such strategies may include tapping from previously uninsured clientele through micro insurance initiatives.

Table 1: Business Written (\$)

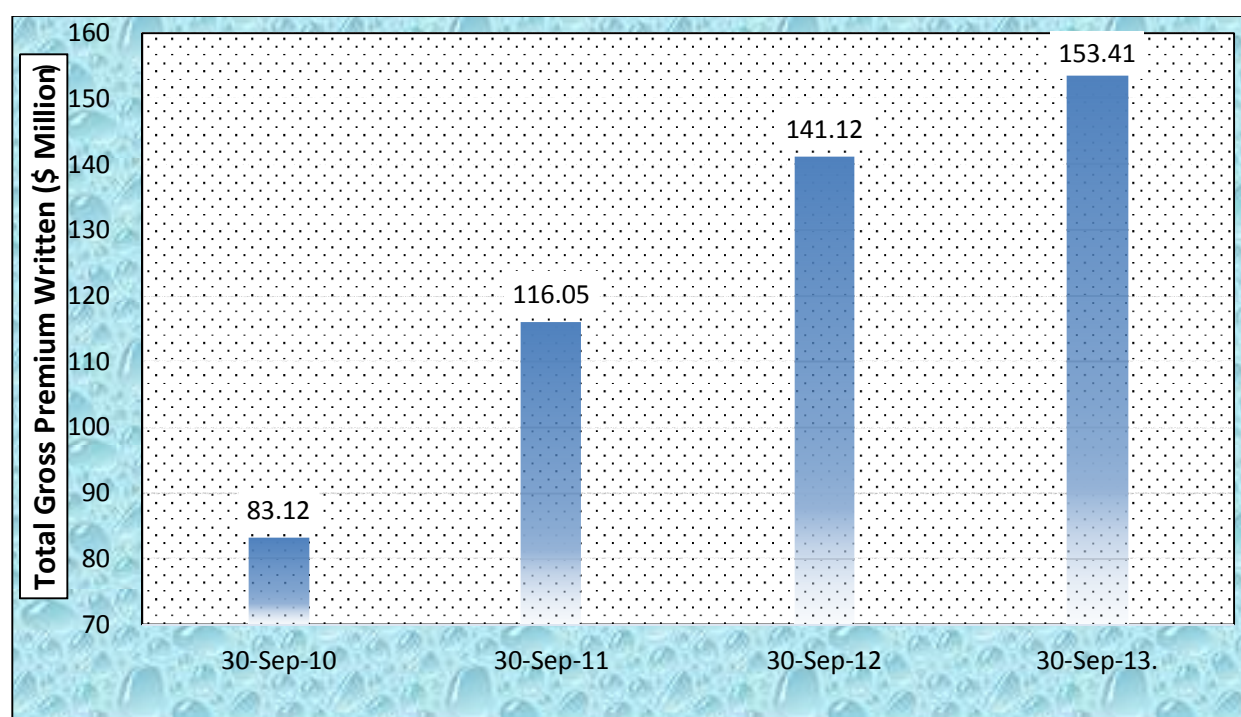
Indicator	30 September 2012	30 September 2013	Percentage Change
Gross Premium Written	141,122,654	153,411,610	8.71%
Reinsurance Premium	68,596,103	72,582,363	5.81%
Net Premium Written	72,526,551	80,829,247	11.45%
Net Earned Premium	48,937,927	77,598,795	58.57%

Compared to the period ended 30 September 2012, the level of business ceded to reinsurers relative to gross premium written decreased during the period under review.

This is evidenced by an increase in net premium written of 11.45% which was above the increase in GPW of 8.71% shown in table 1 above. This may imply that direct non-life underwriters are becoming more comfortable to retain some risks on their books.

The growth in net earned premium of 58.57% is not in line with the growth in the volume of business retained on the non-life insurers' books. The growth was underpinned by a sharp decline in changes in unearned premium reserves (UPR) whose effect may be the overstatement of retained earnings which, in turn, lead to inflated capital positions for insurers. This may be a red flag, especially given that some insurers may want to comply with minimum capital requirements through accounting shenanigans meant to report fictitious capital organic growth.

Figure 1: Total Gross Premium Written for the Year to 30 September Since 2010

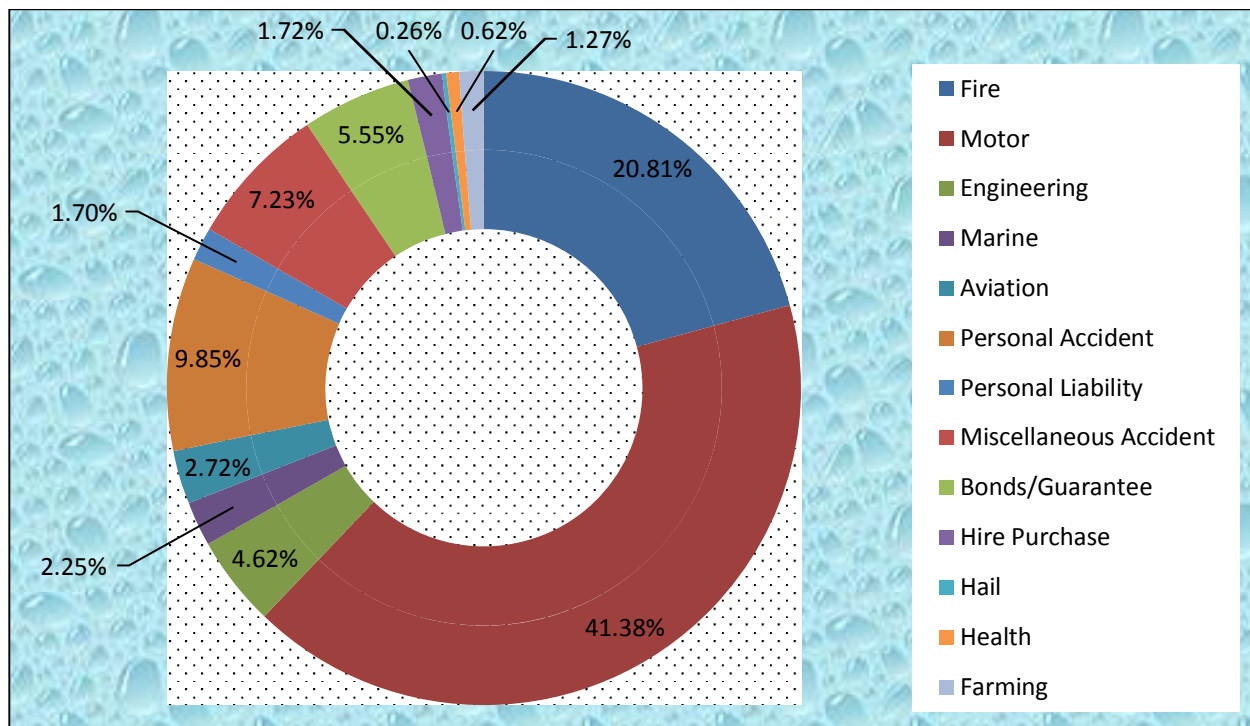


The use of insurance services in the agricultural sector was on the decline as evidenced by the shrinkage in the volume of business generated from farming and hail insurance by 90.59% and 4.31% respectively. On the other hand the highest growth rates in business generated were reported in hire purchase insurance and bonds as shown in Table 2 below. As shown in Figure 2 below, there were no significant changes in the distribution of business written with motor and fire insurance remaining the dominant sources of business written contributing a total of 62.19% of total gross premium written during the period under review.

Table 2: Gross Premium Written by Class of Business (\$)

Contribution by Class	30 September 2012	30 September 2013	Percentage Change
Aviation	3,025,115	4,171,368	37.89%
Bonds/Guarantee	5,383,771	8,518,110	58.22%
Engineering	8,443,143	7,082,727	-16.11%
Farming	2,037,213	1,949,504	-4.31%
Fire	27,972,099	31,931,279	14.15%
Hail	4,163,015	391,628	-90.59%
Health	983,762	948,926	-3.54%
Hire Purchase	1,469,045	2,643,922	79.98%
Marine	3,869,910	3,458,761	-10.62%
Miscellaneous Accident	10,845,529	11,096,906	2.32%
Motor	56,361,461	63,485,558	12.64%
Personal Accident	14,238,052	15,117,529	6.18%
Personal Liability	2,330,539	2,615,392	12.22%
Total	141,122,654	153,411,610	8.71%

Figure 2: Distribution of Insurers' Gross Premium Written by Business Class



1.3. Capitalization

Of all the direct non-life insurers, only Excellence Insurance Company reported a capital position which was significantly below the minimum regulatory requirement of \$750,000. The capital position for Excellence Insurance Company decreased from \$701,758 as at 30 June 2013 to \$171,407 as at 30 September 2013, owing mainly to withdrawal of capital by one of the shareholders who exited the institution. Table 3 below shows the trend in capital positions for all insurers since 31 December 2012. As at 30 September 2013, 12 out of 23 operating non-life insurance companies were already compliant with the minimum capital requirement of \$1.5 million effective 30 June 2014.

The industry average solvency margin for non-life insurers was 60.43% as at 30 September 2013 reflecting a deterioration from 61.12% reported as at 30 June 2013. The industry average solvency margin which was above the prudential minimum of 25% indicates that, on average, most insurers were retaining business volumes which are in line with their capital positions.

Altfin Insurance Company was the only non-life insurance company that reported a solvency margin which was not compliant with the prudential minimum of 25% stipulated in *section 24(1a)(ii) of the Insurance Act [Chapter 24:07]*. Its solvency margin deteriorated from 25.98% as at 31 March 2013 to 23.27% as at 30 June 2013 and 18.84% as at 30 September 2013. Although the institution has since reduced the volume of business written in line with its capital position, it still faces challenges given that its capital is supported by an investment which amounted to \$1.10 million as at 30 September 2013 placed with Interfin Banking Corporation which is under curatorship. Altfin Insurance Company's capital is therefore encumbered.

In a related matter, Sanctuary Insurance Company had an investment amounting to \$0.92 million as at 30 September 2013 that was placed with Infinity Asset Management Company which is now under liquidation. The capital base for Sanctuary Insurance Company is therefore now supported by encumbered assets. The Commission is engaging the two institutions (Altfin and Sanctuary Insurance Company) with a view to coming up with the necessary regulatory action in the interest of protecting policyholders.

Figure 3 below reflects the solvency margins for all the non-life insurers as at 30 September 2013.

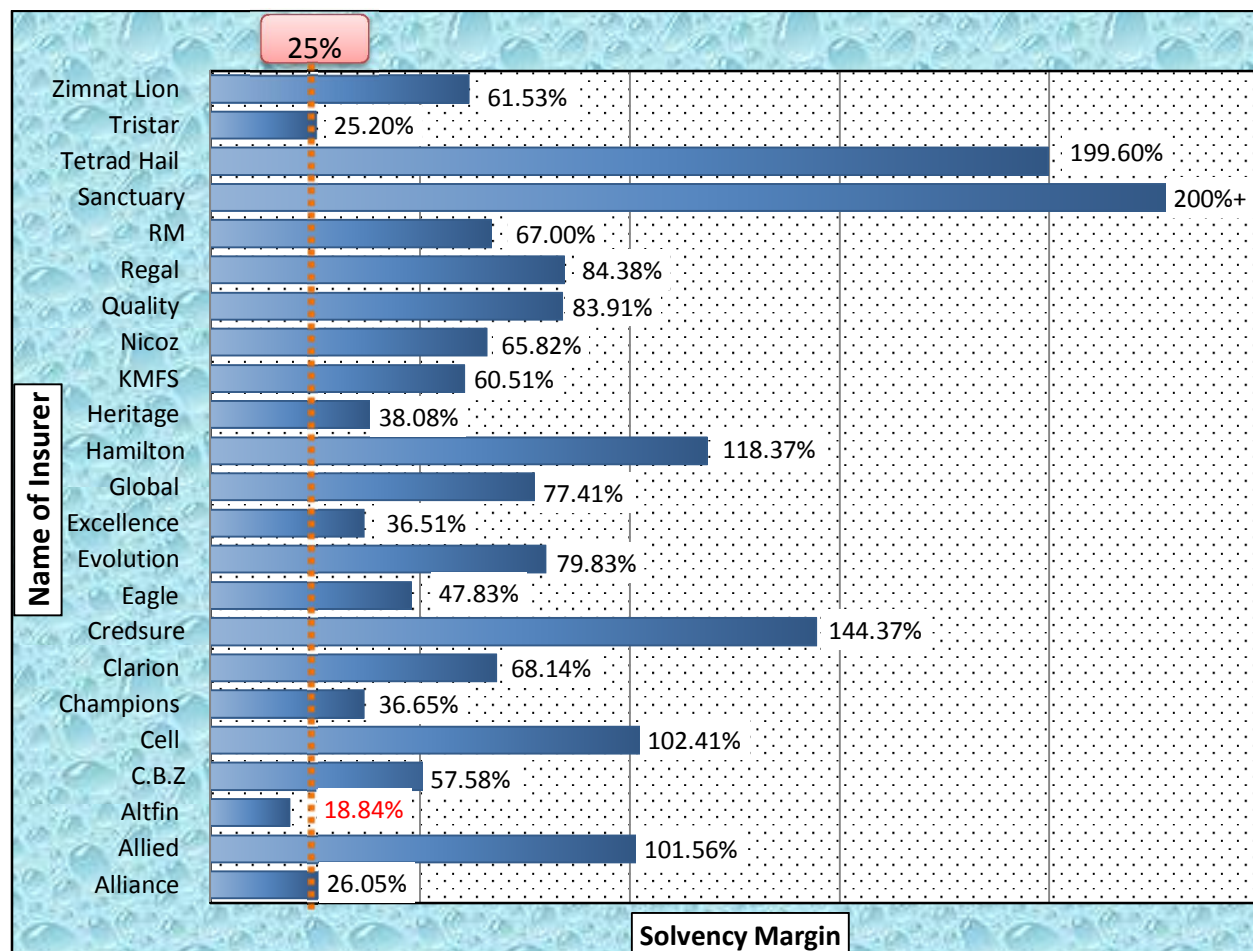
Table 3: Reported Capital Levels for Non-life Insurers (\$)

Name of Insurance Company	31-Dec-12	31-Mar-13	30-Jun-13	30-Sep-13
1. Alliance Insurance Company	3,435,806	3,614,901	3,695,464	3,639,915
2. Allied Insurance Company	452,185	793,643	732,258	753,788
3. Altfin Insurance Company	1,437,855	1,530,000	1,382,000	1,119,000
4. C.B.Z Insurance Company	1,171,680	1,286,972	1,556,208	1,641,790
5. Cell Insurance Company	1,669,291	4,221,862	5,347,767	4,142,804
6. Champions Insurance Company	1,125,695	1,220,293	1,296,090	1,229,372
7. Clarion Insurance Company	1,391,971	1,422,450	1,754,640	1,640,490
8. Credit Insurance Zimbabwe	2,990,977	3,078,481	3,058,236	3,396,629
9. Eagle Insurance Company	2,191,083	1,993,989	2,527,755	2,569,741
10. Evolution Insurance Company	1,346,534	1,293,388	1,385,114	1,424,458
11. Excellence Insurance Company	410,776	573,261	701,758	171,407
12. Global Insurance Company	1,015,060	1,049,470	1,056,461	1,063,470
13. Hamilton Insurance Company	736,432	849,113	945,517	1,031,489
14. Heritage Insurance Company	1,486,757	1,736,331	2,071,423	1,930,948
15. KMFS Insurance Company	956,857	1,027,122	840,690	807,906
16. Nicoz Diamond Insurance Company	8,952,658	9,364,000	9,313,000	9,316,000
17. Quality Insurance Company	1,087,414	1,176,000	1,464,000	1,342,000
18. Regal Insurance Company	943,842	1,807,246	2,542,927	2,396,498
19. RM Insurance Company	6,800,381	7,426,509	8,907,458	9,921,819
20. Sanctuary Insurance Company	1,392,199	1,238,767	1,371,749	1,353,105
21. Tetrad Hail Insurance Company	3,031,567	3,222,316	3,437,201	3,546,726
22. Tristar Insurance Company	2,123,067	1,465,689	1,036,578	1,167,477
23. Zimnat Lion Insurance Company	3,121,954	3,636,368	3,514,641	3,662,023

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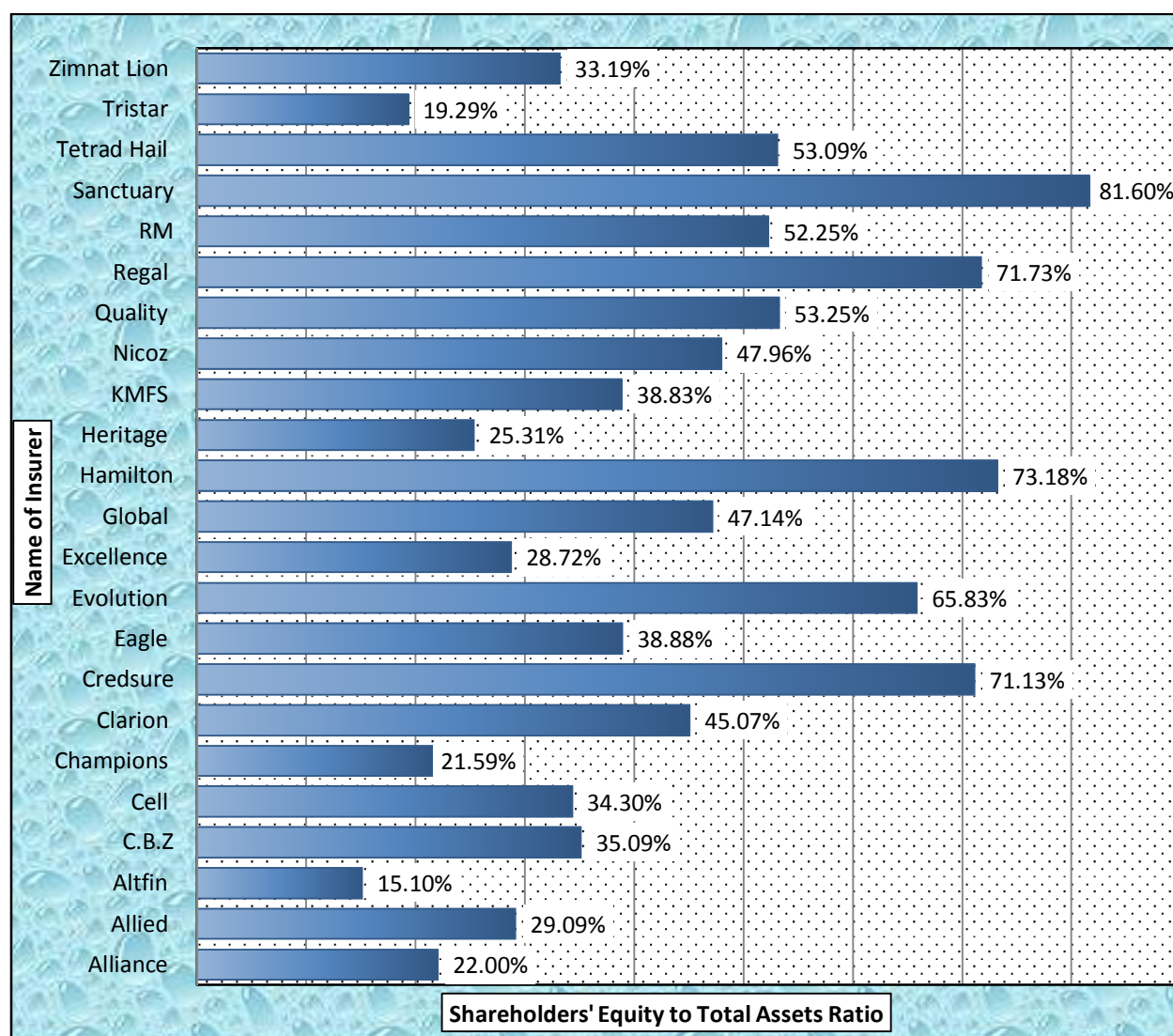
	The insurer was compliant with the minimum capital requirement of \$1.5 million effective 30 June 2014.
	The insurer was compliant with the minimum capital requirement of \$0.75 million effective 30 June 2013, but was yet to comply with \$1.5 million effective 30 June 2014.
	The insurer was not compliant with the minimum capital requirement of \$0.75 million effective 30 June 2013.

Figure 3: Solvency Margin for Non-life Insurers



The industry average equity to asset ratio for non-life insurers was 39.86% as at 30 September 2013 compared to 35.13% reported as at 30 June 2013. This means that out of every dollar worth of assets, shareholders have a claim of approximately forty (40) cents. The improvement in the equity to asset ratio may also reflect less reliance on debt by non-life insurance companies. As shown in Figure 4 below Altfin Insurance Company, Champions Insurance Company and Tristar Insurance Company had the lowest equity to asset ratios.

Figure 4: Non-life Direct Insurers' Leverage Ratios



1.4. Asset Quality

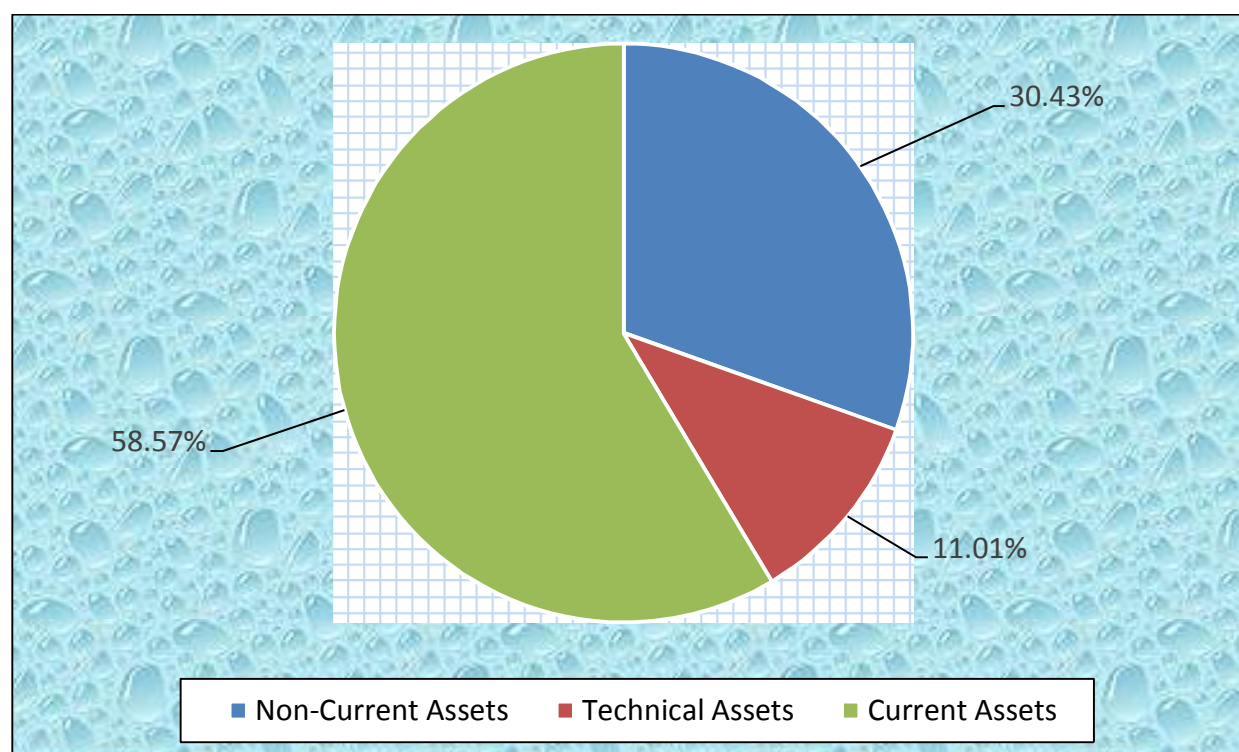
As shown in Figure 5 below, total assets for direct non-life insurers were generally on an upward trend since the inception of the multicurrency regime in 2009. However, there was a significant decrease of 13.88% in total assets from \$173.79 million as at 31 March 2013 to \$149.87 million as at 30 September 2013. The decrease in total assets that occurred during the quarter under review from \$170.64 million to \$149.87 million was mainly driven by reduction in premium debtors as well as cash and cash equivalents which amounted to \$9.01 million and \$2.50 million respectively. The decrease in cash and cash equivalents may compromise the liquidity of the non-life insurers.

Figure 5: Quarterly Trend in Total Assets since 2009



The proportion of non-life insurers' total assets attributable to current assets decreased from 61.35% as at 30 June 2013 to 58.57% as at 30 September 2013 owing mainly to the decrease in premium debtors already alluded to above. Reduction in current assets may not auger well for the non-life insurers businesses given the short term nature of their obligations. More so, given that the proportion of current assets in premium debtors remained high at 40.36% as at 30 September 2013. The distribution of non-life insurers' total assets as at 30 September 2013 is shown in Figure 6 below.

Figure 6: Breakdown of Short-Term Insurers' Total Assets



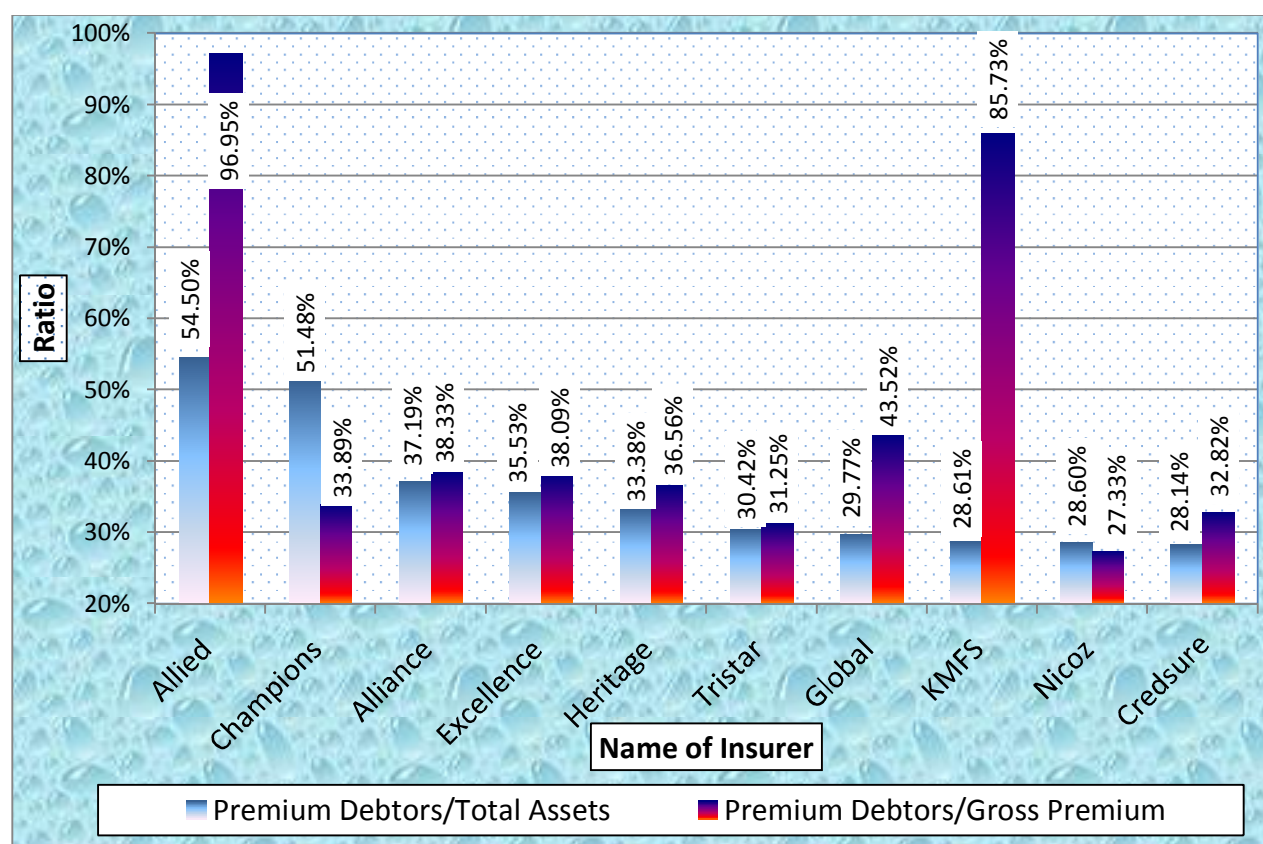
There was a significant improvement in the premium debtors to gross premium ratio from 37.71% as at 30 June 2013 to 23.09% as at 30 September 2013. Notwithstanding the improvement highlighted above, Allied Insurance Company, KMFS Insurance Company and Altfin Insurance Company reported the highest ratios of premium debtors to gross premium of 96.95%, 85.73% and 54.24% respectively. This shows that, compared to their peers, these insurance entities received less funds from the business they wrote.

The income generating capacity of the non-life insurers' assets improved as reflected by the increase in investments to total assets ratio from 36.06% as at 30 June 2013 to 38.91% as at 30 September 2013. In line with the improved income generating capacity of the non-life insurers' assets the ratio of non-income generating assets to total assets decreased marginally from 63.94% as at 30 June 2013 to 61.09% as at 30 September 2013. On the other hand premium debtors to total assets ratio improved from 26.04% as at 30 June 2013 to 23.64% as at 30 September 2013. The premium debtors to total assets ranged from 0 to 54.50%. The Commission implores all players to come up with policies and procedures that guide writing off of premium debtors where collection is in doubt. (See Appendix 1C for the ratios in respect of all insurers).

Although the industry average premium debtors to total assets was relatively low, Allied Insurance Company, Champions Insurance Company and Alliance Insurance Company reported the highest ratios of premium debtors to total assets of 54.50%, 51.48% and 37.19% respectively as at 30 September 2013.

This implies that significant portions of assets supporting the capital bases of these organizations are not readily available to sustain day to day operations, in particular settling of claims, and thus they have compromised asset quality. Should the above mentioned entities fail to convert the premium debtors into cash, they will all face challenges with regards to compliance with minimum capital requirements.

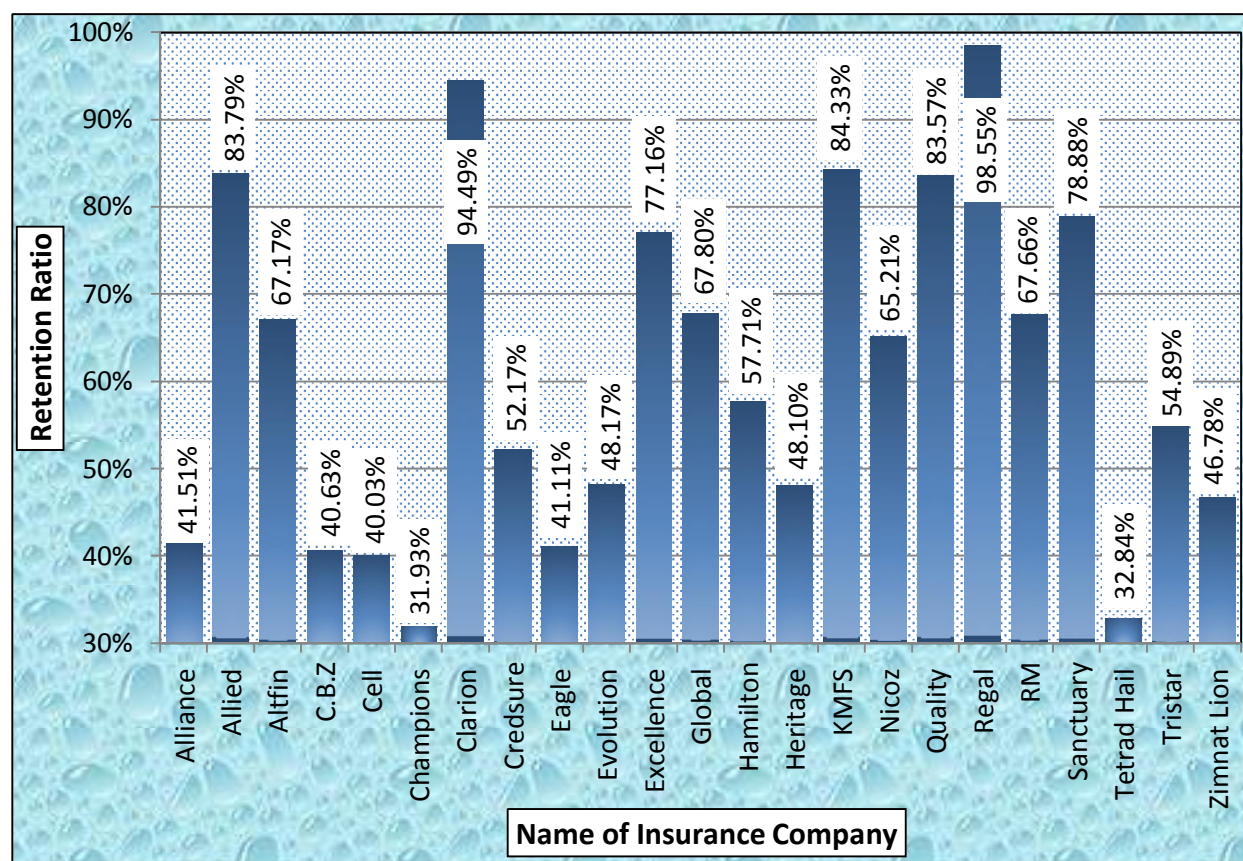
Figure 7: Insurers with High Premium Debtors/Total Assets Ratios



1.5. Reinsurance

Non-life insurers reported an average retention ratio of 52.69% during the nine months ended 30 September 2013, compared to 51.39% reported in the comparative period in 2012. The slight increase in average retention ratio indicates a marginal increase in the risk appetite of non-life insurers. The retention ratios for individual non-life insurers ranged from 31.93% to 98.55%. Figure 8 below shows the retention ratio for all the direct non-life insurers.

Figure 8: Retention Ratios for Short Term Insurance Companies

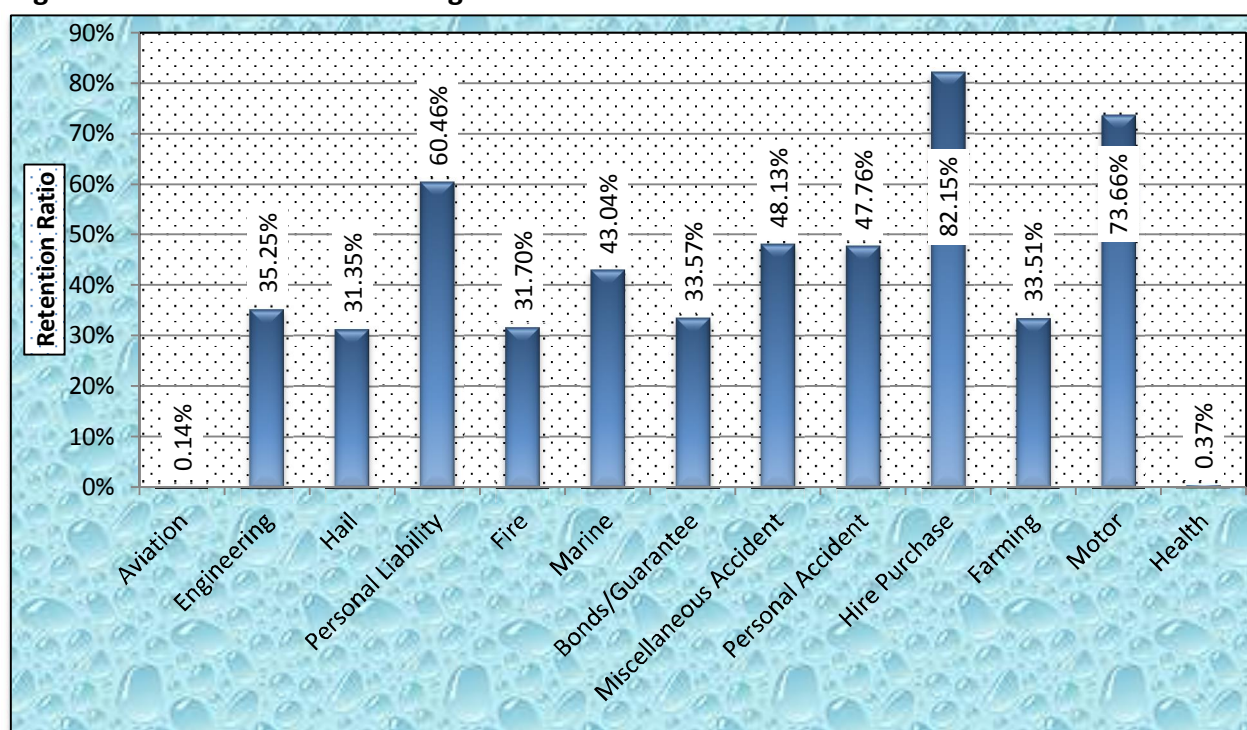


Direct non-life insurers industry's performance, as a whole, with regards to remitting premiums to reinsurers deteriorated. This is evidenced by the increase in the average reinsurance creditors to reinsurance premium from 27.92% for the period ended 30 September 2012, to 33.43% for the period under review. Regal Insurance Company, Allied Insurance Company and KMFS Insurance Company reported reinsurance creditors to reinsurance premium ratios of 506.20%, 289.48% and 122.58% respectively which are in excess of 100%. By implication, these insurers still owe their respective reinsurers premiums for business ceded prior to 1 January 2013.

Such a situation may seriously compromise the reinsurance arrangements put in place thereby exposing the insurers to heightened underwriting as well as credit risk. Appendix 1C shows the performance key indicators in respect of reinsurance for all insurers.

Hire purchase and motor insurance remained the business classes where insurers retain the highest proportions of risk as shown in Figure 9 below. On the other hand the lowest retention ratios continued to be recorded in health and aviation insurance.

Figure 9: Non-life Insurers' Average Retention Ratios for Different Classes of Business



1.6. Actuarial Liabilities

Total provisions set aside by the non-life insurers in respect of incurred but not reported claims (IBNR) amounted to \$9.10 million as at 30 September 2013, reflecting a 29.13% decrease from \$12.84 million reported as at 30 June 2013. On the other hand, unearned premium reserves decreased from \$36.72 million as at 30 June 2013 to \$26.43 million as at 30 September 2013. Decreases in the reserves may be a red flag, especially when the decreases are coupled with increased volume of business. Although the reserves were decreasing as alluded to above, the non-life insurance industry was considered to be having adequate capital to withstand possible adverse events as at 30 September 2013.

This is reflected by the industry average technical reserves to capital ratio of 59.95% as at 30 September 2013 which was well within the prudential benchmark of 100%. In addition, the ratio improved from 82.68% reported as at 30 June 2013. See Appendix 1C for the ratios of all non-life insurers.

The non-life insurance industry was considered to be having adequate capital to cater for all the known and unknown claims as at 30 September 2013. This is evidenced by the ratio of outstanding claims plus IBNR to capital which was 29.17% as at 30 September 2013, reflecting an improvement from 34.18% reported as at 30 June 2013 (Note that this conclusion assumes that the reserves were accurately calculated).

1.7. Earnings

The direct non-life insurance entities recorded a remarkable growth of 196.37% in total profit after tax from \$3.54 million for the nine months ended 30 September 2012 to \$10.50 million for the nine months ended 30 September 2013. The growth in total profit after tax was mainly driven by the decrease in changes in reserves in respect of unearned premiums from \$23.59 million during the nine months ended 30 September 2012 to \$3.23 million during the period under review. However, the growth in total profit after tax driven by such changes in movement of reserves is not sustainable in the long term. In line with the increase in total profits after tax, the average return on equity and return on assets improved from 9.21% and 3.14% for the nine months ended 30 September 2012 to 17.72% and 7.01% respectively for the nine months ended 30 September 2013.

Although total profit after tax for the non-life insurers was positive, four insurers, namely Altfin Insurance Company, Tristar Insurance Company, Regal Insurance Company and Sanctuary Insurance Company reported losses. (See Appendix 1A and 1C profit positions for all insurers).

Underwriting profits amounted to \$7.17 million for the nine months ended 30 September 2013, up from \$1.59 million that was reported in the comparative period in 2012. The industry average combined ratio deteriorated marginally from 90.44% to 90.76%. Although underwriting profits increased, the loss ratio deteriorated marginally from 41.27% to 42.69% reflecting that there was no significant change in the profitability of the non-life insurers' core business.

Underwriting remained the major income driver with investment income accounting for only 3.54% of net premium written (NPW). The generation of more income from the core business indicates that the revenues for the non-life insurers are sustainable.

1.8. Liquidity

Total liquid assets for non-life insurers amounted to \$36.07 million as at 30 September 2013 reflecting a decrease from \$39.95 million reported as at 30 June 2013. The total liquid assets continued to be concentrated in three insurers namely RM Insurance Company, Nicos Diamond Insurance Company and Alliance Insurance Company which accounted for 58.65% of the total cash, money market investments and other cash equivalents.

Total working capital for non-life insurers decreased marginally from \$23.77 million as at 30 June 2013 to \$23.22 million as at 30 September 2013. The average current ratio for the industry improved marginally from 123.09% as at 30 June 2013 to 128.04% as at 30 September 2013 implying that more current assets were available to cover current liabilities.

The liquidity position of the direct non-life insurance entities after taking account of all assets which are illiquid such as premium and other debtors improved slightly during the quarter under review. This is evidenced by the increase in the acid test ratio from 38.80% as at 30 June 2013 to 44.30% as at 30 September 2013. The acid test ratio reported as at 30 September 2013 implies that, the non-life direct insurers had readily liquid current assets to cover on average only forty four cents out of every dollar worth of current liabilities.

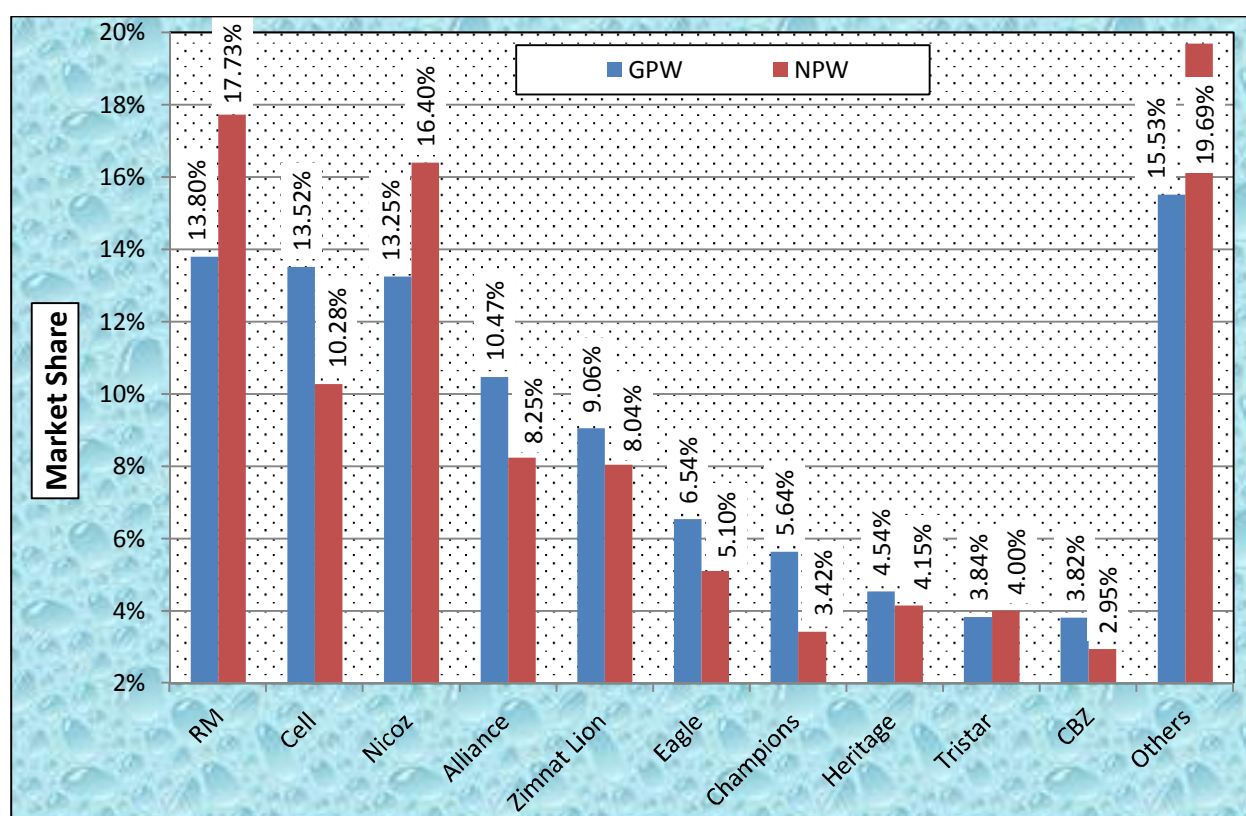
The acid test ratios for individual insurers ranged from 0.61% to 597.53%. Altfin Insurance Company, Champions Insurance Company, and KMFS Insurance Company, continued to have the lowest acid test ratios of 0.61%, 3.51% and 4.70% respectively.

1.9. Market Share for Non-life Insurers

The direct non-life insurers' industry was considered unconcentrated with Herfindahl Indices of 0.09 in terms of both gross premium written and net premium written during the nine months ended 30 September 2013. An unconcentrated industry may mean that there is no insurer(s) with outright dominance in the market, a situation which may be beneficial to consumers of insurance services since it creates healthy levels of competition.

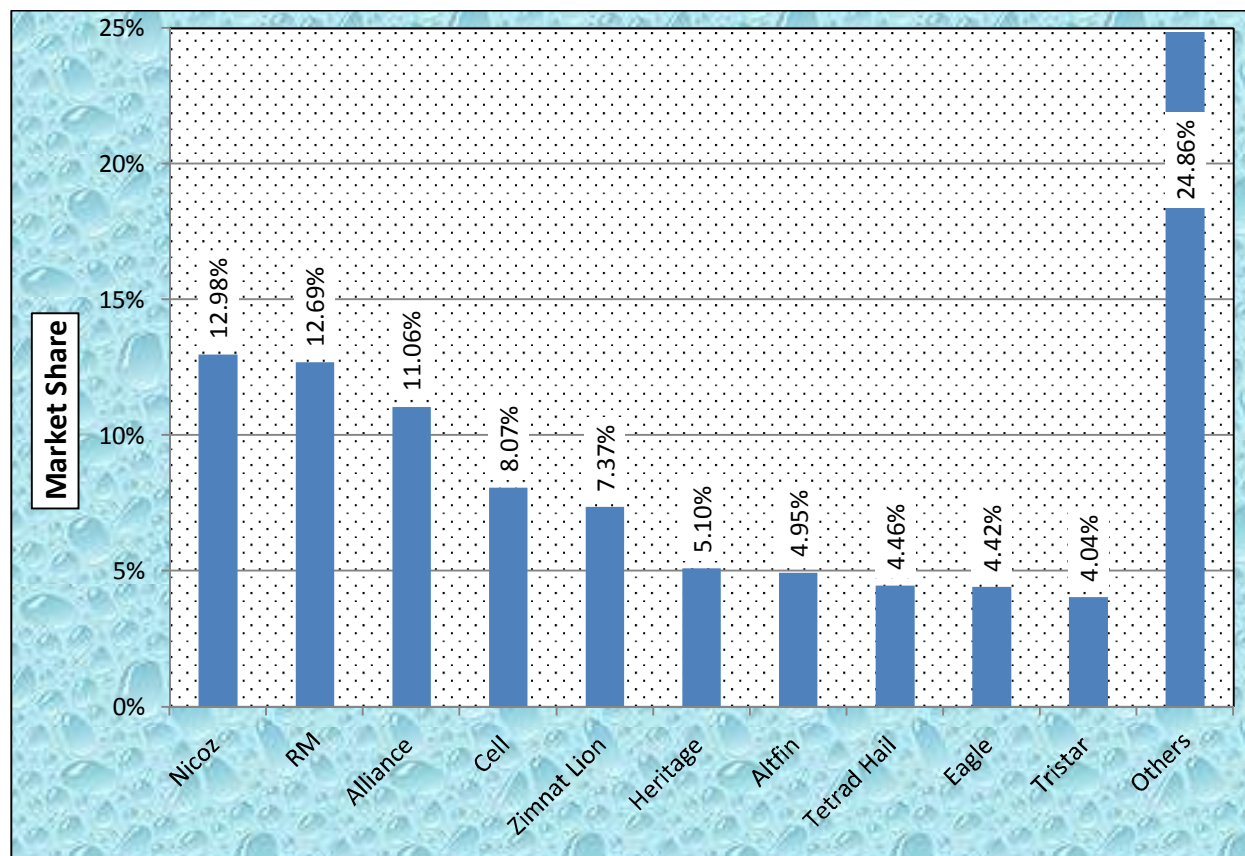
There were no significant changes in the top ten insurers with RM Insurance Company, Cell Insurance Company and Nicoz Diamond Insurance Company remaining the top three insurers in terms of both gross premium written and net premium written. These three entities controlled a combined market share of 40.58% and 44.41% of GPW and NPW respectively.

Figure 10: Market Share for Insurers in Terms of GPW and NPW



In terms of total assets, Nicoz Diamond Insurance Company, RM Insurance Company and Alliance Insurance Company were the market leaders as shown Figure 11 below, with market shares of 12.98%, 12.69% and 11.06% respectively as at 30 September 2013.

Figure 11: Market Share for Insurers in Terms of Total Assets



SECTION B
2. REINSURANCE COMPANIES

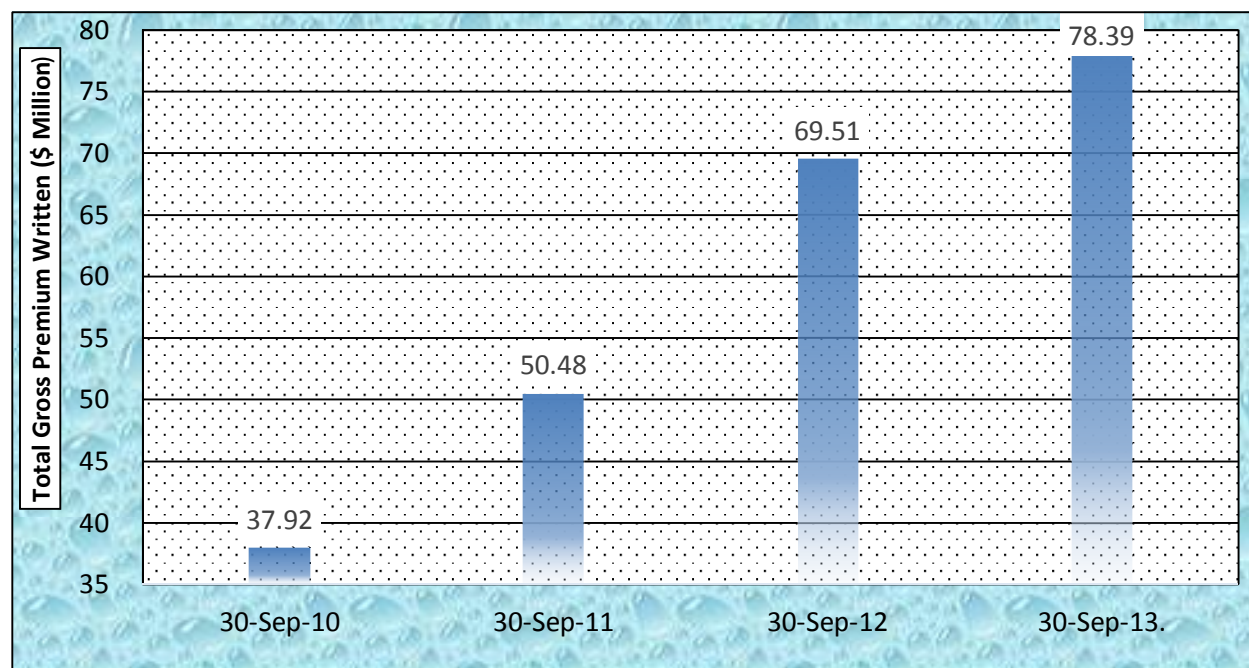
2.1. Number of Non-life Reinsurers

As at 30 September 2013, there were ten (10) registered reinsurers one (1) of which was not operational. The Commission has since served Horizon Reinsurance Company with a notice to cancel the institution's registration and the institution did not appeal within the prescribed period. As such, the Commission will proceed and cancel the reinsurer's registration.

2.2. Trend and Distribution of Business Written

The volume of business written by non-life reinsurers in terms of GPW continued on the upward trend since adoption of the multicurrency regime, as shown in Figure 12 below. Total gross premium written amounted to \$78.39 million for the nine months ended 30 September 2013, reflecting a 12.78% increase from \$69.51 million reported for the comparative period in 2012. Out of the \$78.39 million, total gross premium of \$5.19 was generated from outside the country. The growth in the volume of business written was mainly driven by changes in gross premium written generated from fire and motor insurance which amounted to \$10.38 million and 2.08 million respectively. The growth rate reported during the period under review is significantly below that of 37.70% and 33.13% reported during the nine months ended 30 September 2012 and 30 September 2011 respectively. This may be an indication that the non-life reinsurers' market is reaching saturation on the back of a slowing down economy.

Figure 12: Total Gross Premium Written for the Year to 30 September since 2010



As shown in table 4, below the growth in retrocession premium was more than that recorded in gross premium. This may imply that the business volume grew at a faster rate than the reinsurers' retention capacity and reinsurers responded by expanding their overall capacity through increased use of retrocession. Non-life reinsurers reported significant movements in unearned premium reserves, a situation which resulted in the net earned premium recording a growth rate that was way above the growth rates recorded in the other indicators shown in Table 4 below.

Table 4: Business Written (\$)

	30-September-12	30-September-13	Percentage Change
Gross Premium Written	69,511,197	78,391,678	12.78%
Retrocession Premium	17,175,227	22,626,403	31.74%
Net Premium Written	52,335,970	56,112,050	6.62%
Net Earned Premium	32,342,433	52,894,028	62.59%

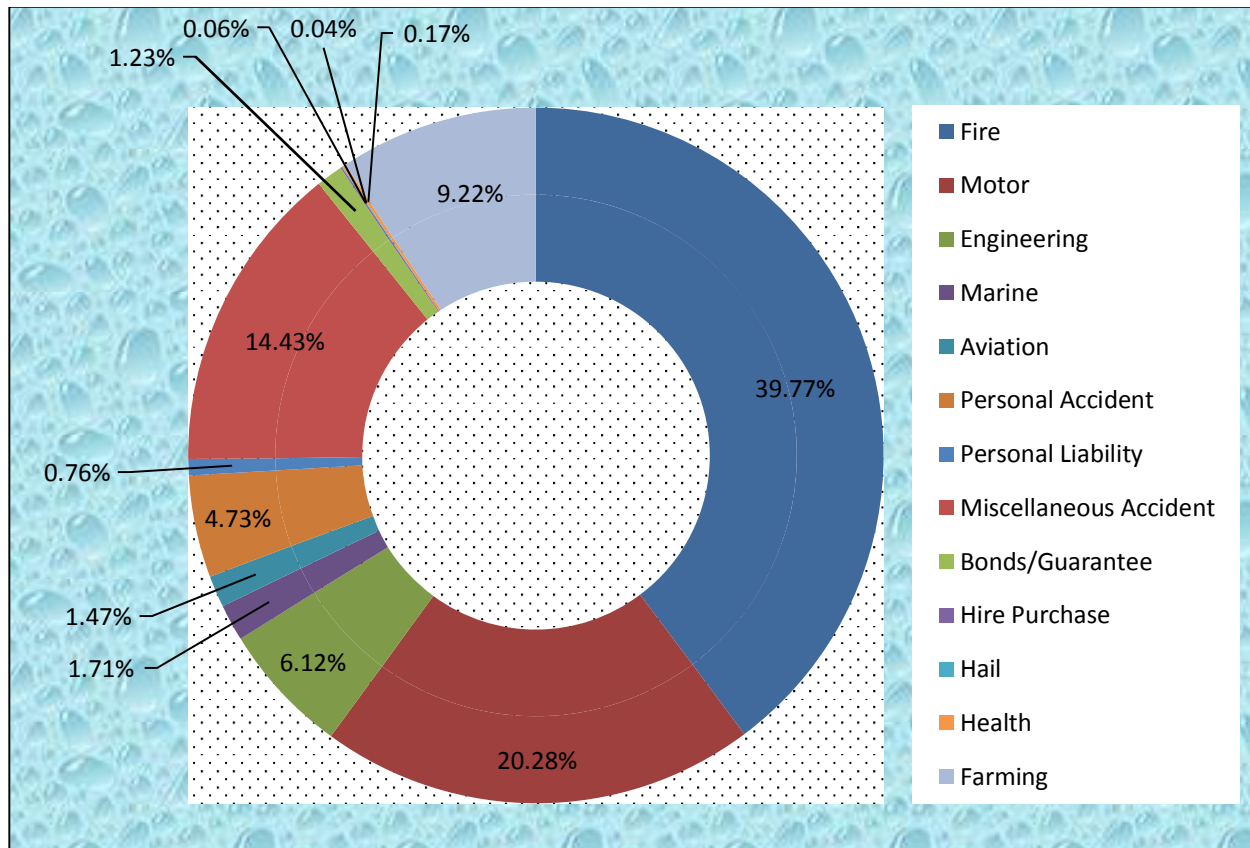
The fastest growing classes of insurance in terms of volumes of business generated by reinsurers were bonds/guarantees as well as personal liability as shown in Table 5 below.

Table 5: Gross Premium Written by Class of Business (\$)

Class	30 September 2012	30 September 2013	Percentage Change
Aviation	2,895,186	1,152,882	-60.18%
Bonds/Guarantee	385,174	966,415	150.90%
Engineering	4,448,309	4,794,706	7.79%
Farming	6,760,613	7,225,009	6.87%
Fire	20,794,749	31,174,577	49.92%
Hail	1,201,170	34,180	-97.15%
Health	322,020	133,870	-58.43%
Hire Purchase	84,093	48,842	-41.92%
Marine	1,832,218	1,342,664	-26.72%
Miscellaneous Accident	12,877,199	11,311,198	-12.16%
Motor	13,818,220	15,898,217	15.05%
Personal Accident	3,463,888	3,709,473	7.09%
Personal Liability	628,358	599,645	-4.57%
Total	69,511,197	78,391,678	12.78%

There were no significant changes in the spread of business across different classes with fire and motor insurance remaining the major sources of business accounting for 39.77% and 20.28% of total gross premium respectively. The proportions of total gross premium attributable to all classes of business are as shown in Figure 13 below.

Figure 13: Distribution of Reinsurers' GPW by Business Class



2.3. Capitalization

All non-life reinsurers were compliant with the minimum capital requirement of \$750,000 as at 30 September 2013. Although PTA Reinsurance Company's Zimbabwe Country Office (Zep-Re) reported capital which was below \$750,000 the country office is effectively a "branch" of the reinsurance company hence a more objective analysis can only be conducted using the overall position of the entity.

The trend in the capital positions for non-life reinsurers since 31 December 2012 is shown in Table 6 below.

Table 6: Reported Capital Levels for Reinsurers (\$)

Company	31 Dec 2012	31 Mar 2013	30 Jun 2013	30 Sep 2013
Baobab Reinsurance Company	27,273,895	27,940,533	27,969,938	30,090,562
Colonnade Reinsurance Company	514,471	1,182,012	1,507,085	1,457,969
FBC Reinsurance Company	6,987,219	7,476,360	8,201,857	8,173,776
FMRE Property & Casualty	5,108,325	5,255,917	5,701,815	5,872,433
Grand Reinsurance Company	9,744,262	9,850,732	9,708,989	9,580,891
New Reinsurance Company	367,415	507,000	1,018,000	1,007,000
Tropical Reinsurance Company	1,778,706	2,030,220	2,347,220	2,239,290
ZB Reinsurance Company	3,773,224	6,289,580	6,565,150	6,722,390
PTA Reinsurance Company (Zep Re)*	983,000	1,728,362	1,078,660	552,587

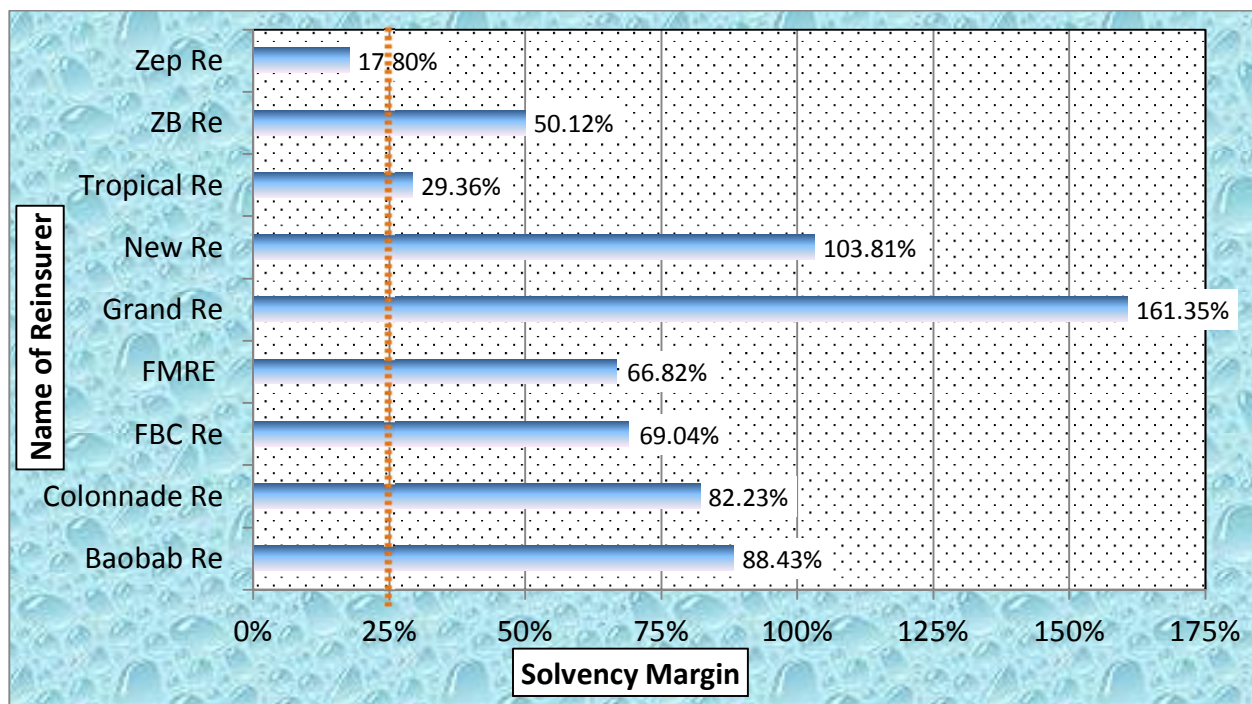
*The capital position only relates to ZEP Re's Zimbabwe country office. The audited capital position for Zep Re as at 31 December 2012 was \$78.77 million.

Key:

	The reinsurer was compliant with the minimum capital requirement of \$1.5 million effective 30 June 2014.
	The reinsurer was compliant with the minimum capital requirement of \$0.75 million effective 30 June 2013, but was yet to comply with \$1.5 million effective 30 June 2014.
	The reinsurer was not compliant with the minimum capital requirement of \$0.75 million effective 30 June 2013.

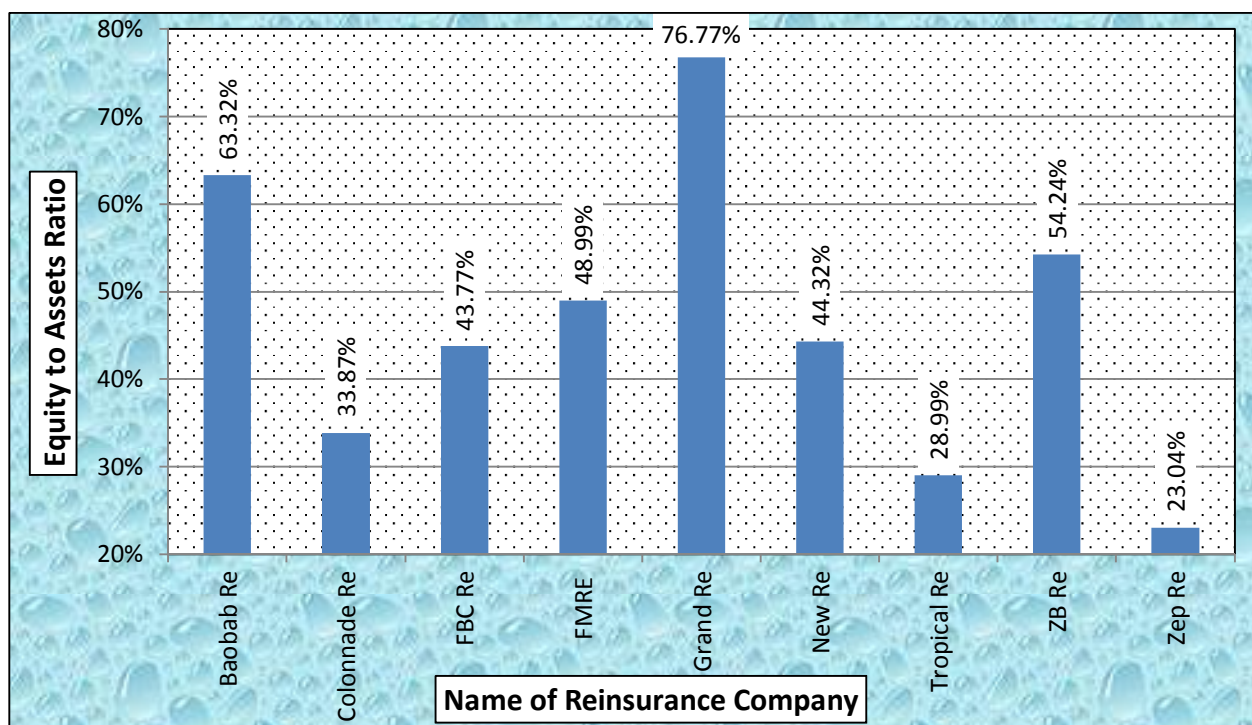
All the non-life reinsurance companies except Zep-Re Zimbabwe country office were compliant with the minimum solvency margin of 25% stipulated in *section 24(1a) (ii)* of the *Insurance Act [Chapter 24:07]*. The industry average solvency margin for non-life reinsurers as at 30 September 2013 was 75.10% reflecting a marginal improvement from 73.27% reported as at 30 June 2013. Figure 14 below shows the solvency margins for the non-life reinsurers.

Figure 14: Solvency Margin for Reinsurers



The average equity to asset ratio increased marginally from 52.92% as at 30 June 2013 to 54.86% as at 30 September 2013. This means that shareholders had claims of approximately fifty five (\$0.55) cents out of every dollar worth of assets in the industry.

Figure 15: Equity to Assets Ratio for Non-life Reinsurers



2.4. Asset Quality

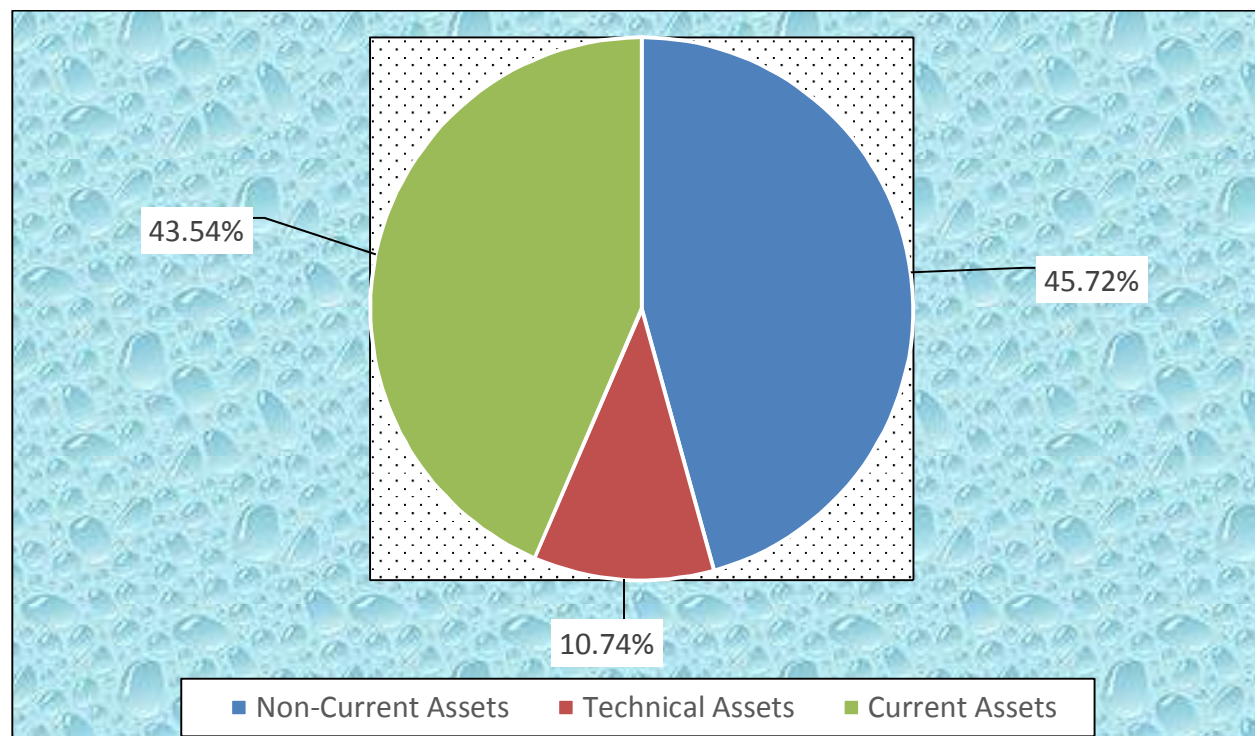
Owing to increased business volumes, total assets for non-life reinsurers have been generally on an upward trend since the introduction of the multicurrency regime in 2009 as shown in Figure 16 below. However, during the quarter under review the asset base shrunk marginally by 1.12% from \$121.11 million as at 30 June 2013 to \$119.76 million as at 30 September 2013.

Figure 16: Quarterly Trend in Total Assets for Non-life Reinsurers since 2009



The asset base for non-life reinsurers was skewed towards non-current assets which accounted for 45.27% of total assets as at 30 September 2013. Figure 17 below shows the breakdown of total assets.

Figure 17: Breakdown of Non-life Reinsurers' Total Assets

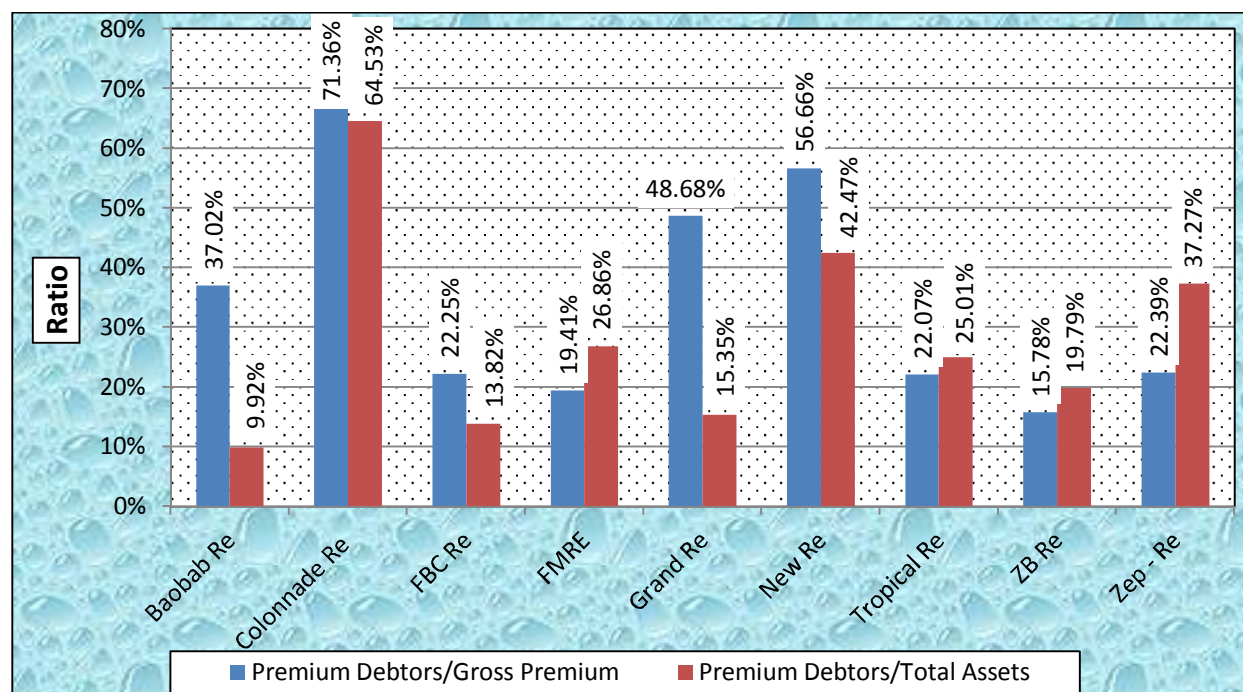


The industry average investments to assets ratio improved marginally from 61.89% as at 30 June 2013 to 62.87% as at 30 September 2013. The improvement in investments to assets ratio may boost the reinsurers' ability to generate investment income to supplement underwriting income.

The industry average premium debtors to assets ratio decreased from 19.19 % as at 30 June 2013 to 17.91% as at 30 September 2013. The quality of assets for Colonnade Reinsurance Company and New Reinsurance Company was seriously compromised by high levels of premium debtors which attributed for 64.53% and 42.47% of total assets respectively as shown in Figure 18 below.

The same reinsurers were worse off in terms of collection of premiums as evidenced by their ratios of premium debtors to gross premium which were significantly above the industry average of 27.25% as shown in the diagram below.

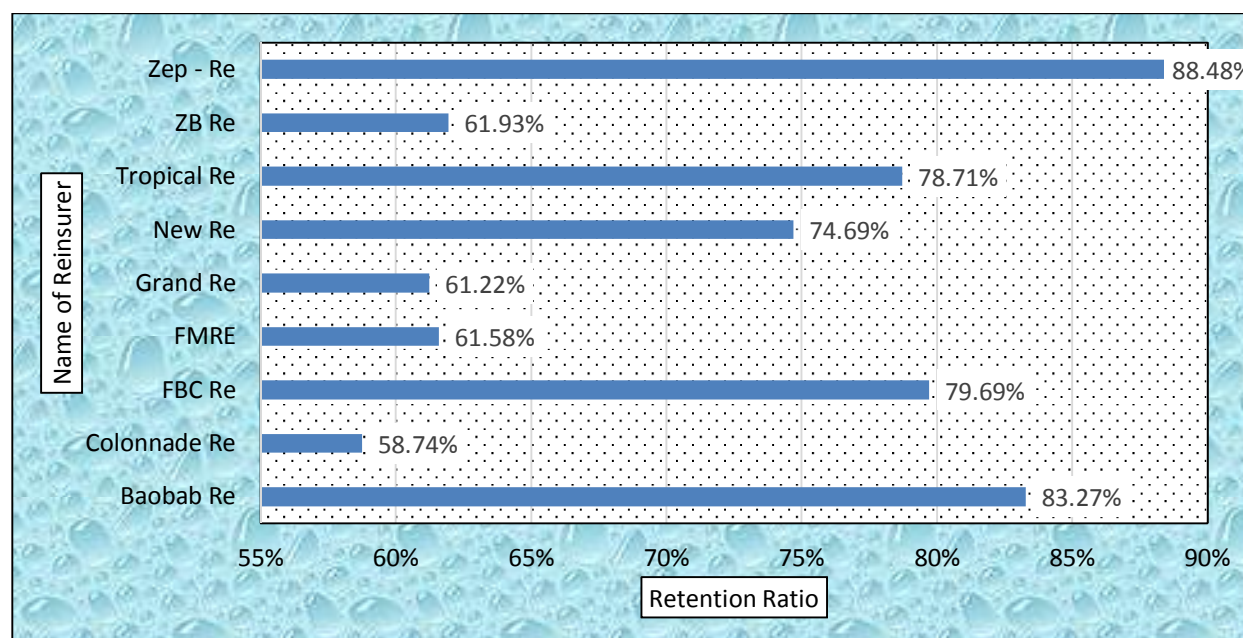
Figure 18: Premium Debtors to GPW and Premium Debtors to Assets Ratios



2.5. Retrocession

The industry average retention ratio was 71.18% as at 30 September 2013 compared to 75.29% reported in the comparative period in 2012. The decrease in the retention ratio indicates a lower risk appetite by the non-life reinsurers. Retention ratios for individual insurers ranged from 58.74% to 88.48% as shown in figure 19 below.

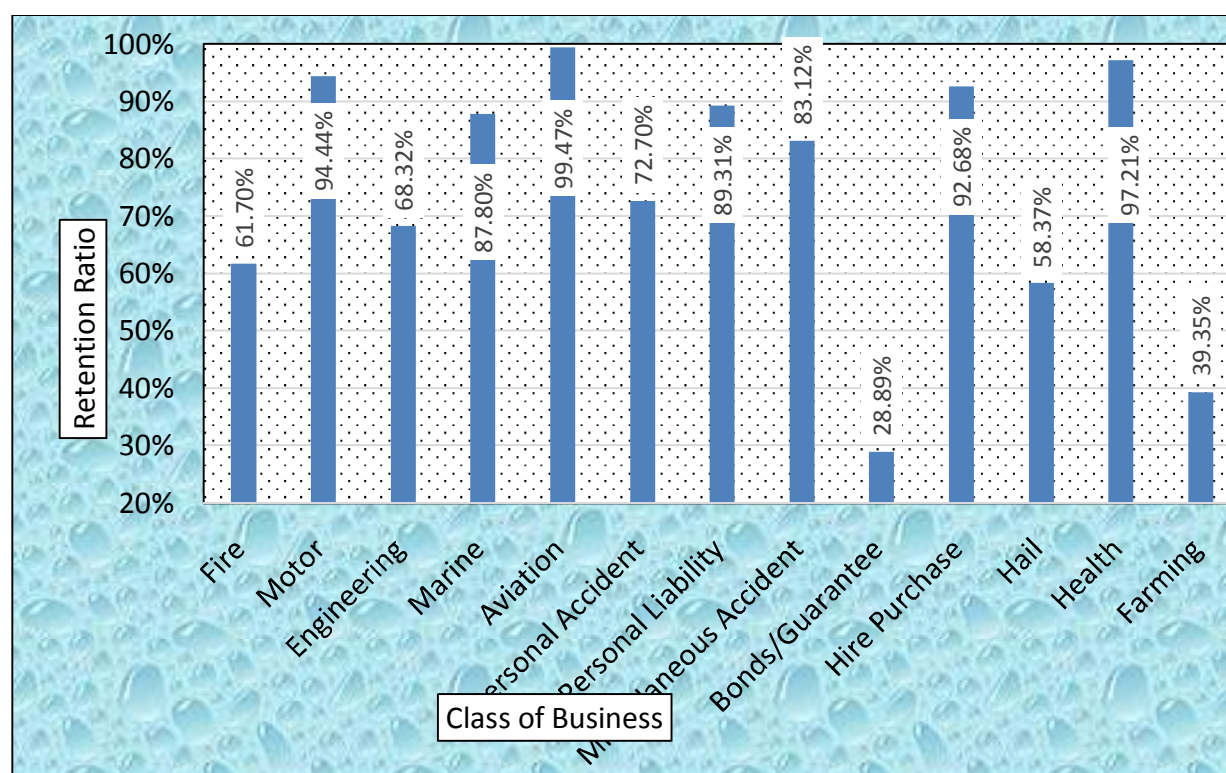
Figure 19: Retention Ratios for Reinsurers



Although the average retrocession creditors to retrocession premium was 57.51%, Baobab Reinsurance Company reported a ratio of 327.74% which was significantly above the industry average. Such a situation may compromise the effectiveness of Baobab Reinsurance Company's retrocession arrangements.

Out of all the business classes, fire and personal accident insurance recorded the highest retention ratios of 99.47% and 97.21% respectively. Coincidentally fire is the major source of business in terms of gross premium written. Figure 20 below shows the non-life reinsurers' average retention ratio in different classes of business for the period under review.

Figure 20: Reinsurers' Retention Ratios by Class of Insurance Business



2.6. Actuarial Liabilities

Total unearned premium reserves for reinsurers amounted to \$15.63 million as at 30 September 2013 compared to \$17.13 million reported as at 30 June 2013. On the other hand, incurred but not reported (INBR) claims increased marginally from \$5.11 million as at 30 June 2013 to \$5.25 million as at 30 September 2013.

The non-life reinsurers industry's ability to withstand possible adverse events continued improving with a technical reserves to capital ratio of 45.53% as at 30 September 2013.

The ratio reported as at 30 September 2013 shows an improvement from 48.47% reported as at 30 June 2013. In addition, total outstanding claims and IBNR accounted for only 29.73% of the reinsurers' total capital base indicating the adequacy of capital to meet all the known and the unknown claims. (This conclusion assumes that reserves were accurately calculated)

2.7. Earnings

Non-life reinsurers reported profit after tax of \$6.50 million for the period ended 30 September 2013, reflecting a phenomenal increase from \$0.02 million reported in the comparative period in 2012. The increase in total profit for the reinsurers was mainly attributable to the decrease in movements in unearned premium reserves which amounted to \$16.78 million. The increase in profit after tax resulted in improvements in both the average return on assets (ROA) and return on equity (ROE) from 0.01% and 0.04% for the period ended 30 September 2012, 5.43% and 9.90% for the period 30 September 2013. Of all the operational reinsurers, only Grand Reinsurance Company reported losses during the period under review.

Total underwriting profits for the reinsurers increased from negative \$0.93 million for the period ended 30 September 2012 to \$5.46 million for the period under review. The improvement in the underwriting margin and combined ratio reflect enhanced profitability of the reinsurers' core business of underwriting.

In line with the increase in underwriting profits, underwriting margin for the reinsurers improved from negative 2.88% for the nine months ended 30 September 2012 to 10.38% for the period under review. In addition, the combined ratio improved from 123.23% to 89.62%. The improvement in the combined ratio was mainly attributable to the decrease in expense ratio from 47.35% for the nine months 30 September 2012 to 26.23% for the period under review.

Investment income accounted for only 4.51% of net premium written (NPW) indicating that the non-life reinsurers generated the bulk of their income from their core business of underwriting.

2.8. Liquidity

Total liquid assets decreased marginally from \$25.60 million as at 30 June 2013 to \$24.89 million as at 30 September 2013. The decrease in liquid assets may compromise the overall liquidity of the non-life reinsurance industry. More so given that 79.04% of the liquid assets as at 30 September 2013 were concentrated in three reinsurers namely FBC Reinsurance Company, ZB Reinsurance Company and FMRE Property and Casualty.

Total working capital for non-life reinsurers decreased from \$16.88 million as at 30 June 2013 to \$15.66 million as at 30 September 2013 indicating a deterioration in the reinsurers' liquidity. Of all the non-life reinsurers, only Baobab Reinsurance Company and PTA Reinsurance Company's Zimbabwe Country Office (Zep-Re) reported negative working capital positions.

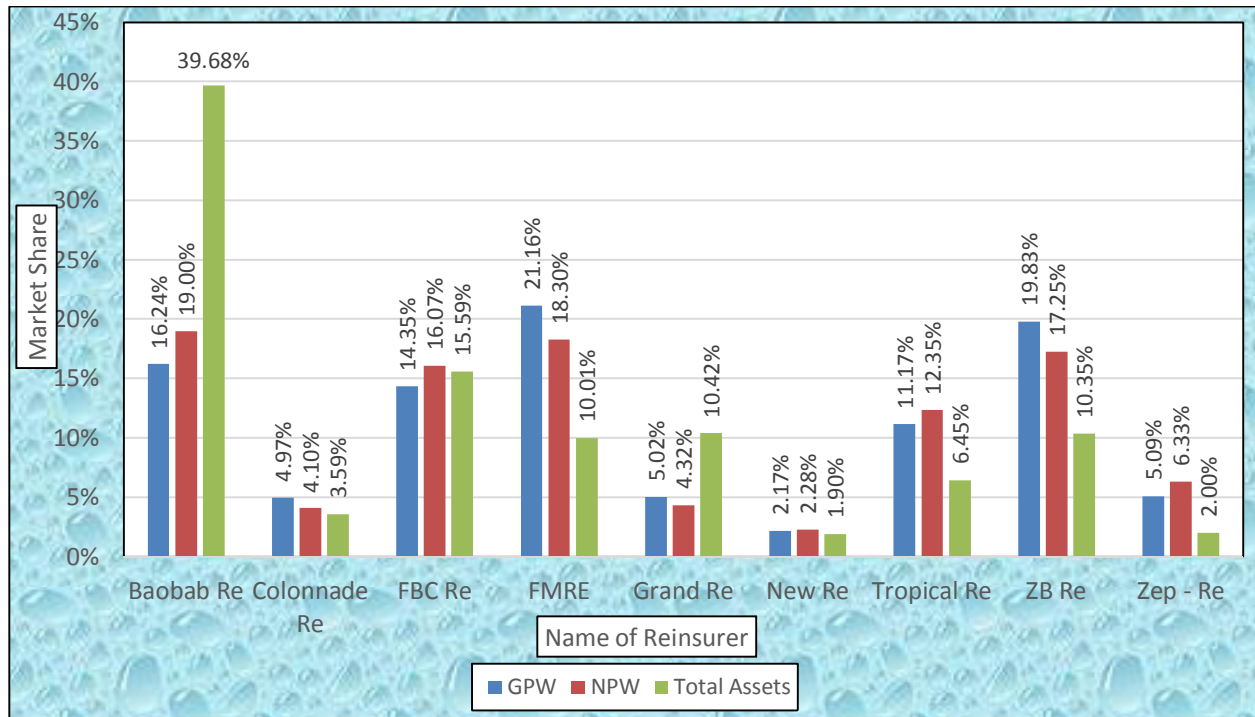
The industry average current ratio was 131.74% as at 30 September 2013 reflecting an insignificant change from 132.71% reported as at 30 June 2013. Notwithstanding the industry average working capital ratio which was above 100%, the overall liquidity of the non-life reinsurance industry was considered to be constrained by the presence of illiquid current assets such as premium debtors. The said illiquid assets resulted in an industry average acid test ratio of 50.44% which compares unfavourably with 51.34% reported as at 30 June 2013.

Baobab Reinsurance Company, PTA Reinsurance Company's Zimbabwe Country Office, and Grand Reinsurance Company reported the lowest acid test ratios, a situation which might be a red flag on the said entities' liquidity.

2.9. Market Share for Reinsurers

The market for non-life reinsurers was considered moderately concentrated with Herfindahl Indices of 0.15 in terms of gross premium written and net premium written during the nine months ended 30 September 2013. As shown in Figure 21 below, the top three reinsurers in terms of both gross premium written and net premium written were FMRE Property and Casualty, ZB Reinsurance Company and Baobab Reinsurance Company. On the other hand, Baobab Reinsurance Company, FBC Reinsurance Company and Grand Reinsurance Company were the top three reinsurers in terms of total assets.

Figure 21: Market Share for Reinsurers in Terms of GPW, NPW and Total Assets



SECTION C

3. INSURANCE BROKERS

3.1 Number of Insurance Brokers

There were twenty nine (29) registered insurance brokers as at 30 September 2013, the same number reported as at 30 June 2013. However, at the time of compiling this report the Commission had registered Revival Insurance Brokers.

3.2 Business Written

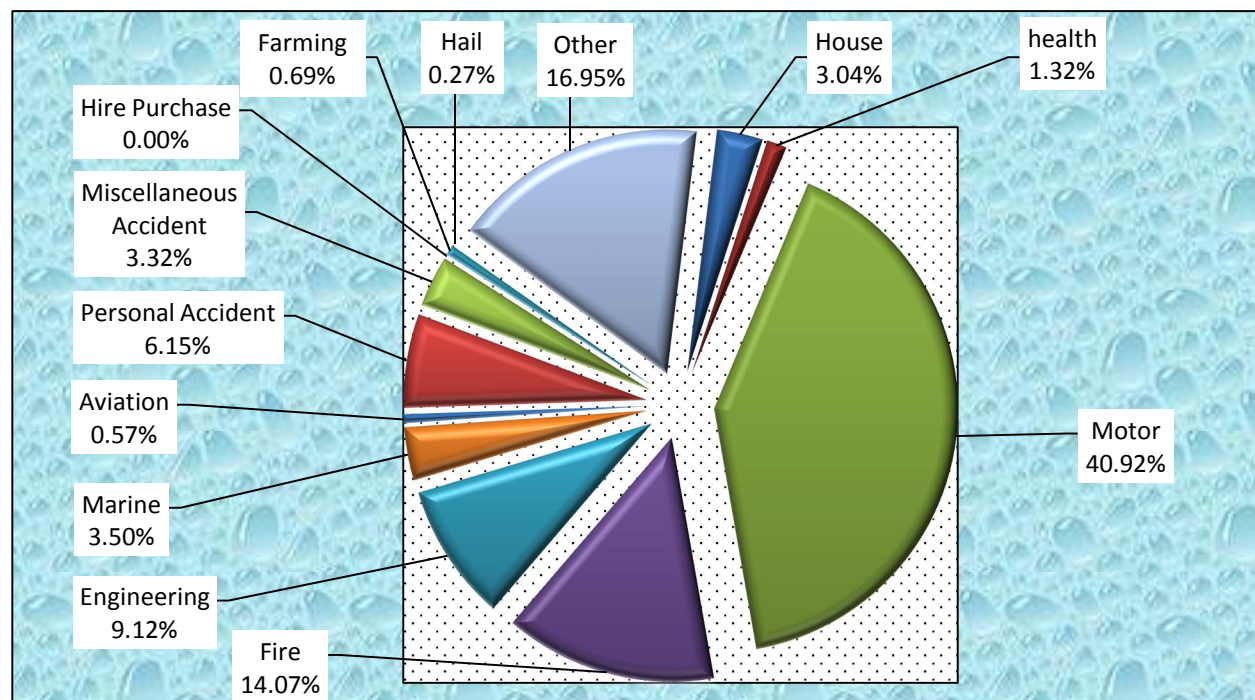
Total premium written by insurance brokers amounted to \$72.62 million for the nine months ended 30 September 2013. Insurance brokers' total premium accounted for 47.33% of the total premium written by direct non-life insurers. This shows that direct non-life insurers generate the bulk of their business from their agents and direct clients. As shown in table 7 below, net brokerage Commission generated from the business written amounted to \$12.70 million and accounted for 17.49% of premium written.

Table 7: Indicators of Business Written for Insurance Brokers (\$)

Indicator	30 September 2013
Premium Written	72,616,329
Brokerage Commission	13,186,659
Premium Written Less Commission	59,429,669
Commission Incurred	484,673
Net Brokerage Commission	12,701,987
Other Income	1,230,114
Operating Expenses	12,641,556
Profit Before Tax	1,290,545
Taxation	335,500
Profit After Tax	955,045

Motor and fire insurance remained the dominant classes of business generated during the period under review as shown in Figure 22. These two business classes were also the major sources of business for direct nonlife insurance companies.

Figure 22: Distribution of Insurance Brokers' Gross Premium Written by Business Class



3.3 Earnings

Insurance brokers reported total profit after tax of \$0.96 million for the period ended 30 September 2013. Although all insurance brokers reported positive total profit after tax, five brokers out of the twenty nine operational insurance brokers reported losses during the period under review. The insurance brokers' average return on equity (ROE) and return on assets (ROA) for the nine months ended 30 September 2013 were 13.12% and 4.02% respectively.

3.4 Capitalization

As at 30 September 2013, all the insurance brokers reported capital positions which were above \$100,000, except Hunt Adams & Associates (Private) Limited, Matden Reinsurance Brokers (Private) Limited and Rainbow Insurance Brokers (Private) Limited. The capital positions for the individual insurance brokers ranged from \$10,843 to \$685,020.

The capital position for the brokers is shown in table 8 below.

Table 8: Reported Capital Levels for Insurance Brokers (\$)

Name Insurance Broker	31-Dec-12	31-Mar-13	30-Jun-13	30-Sep-13
1. Alexander Forbes Risk Services	425,997	338,946	333,758	333,628
2. Ambassador Insurance Brokers	145,839	117,110	117,110	129,123
3. Amour Khan Insurance Brokers	14,968	135,596	136,399	136,960
4. Auto & General Insurance Brokers	433,900	436,800	445,900	445,290
5. Broksure Insurance Brokers	51,627	108,034	117,709	111,548
6. Capitol Insurance Brokers	375,736	459,962	523,677	546,706
7. Care Insurance Brokers	133,350	146,233	131,547	132,722
8. Eaton & Youngs (Private) Limited	313,831	395,719	460,122	491,455
9. Eureka Insurance Brokers	236,063	253,396	237,722	246,441
10. Glenrand MIB Zimbabwe	655,914	530,661	364,962	349,431
11. Goldstick Insurance Brokers	66,551	94,694	107,582	117,782
12. Hostcare Insurance Brokers*				145,965
13. HRIB (Private) Limited	106,415	282,755	346,884	145,179
14. Hunt Adams & Associates	(107,013)	69,941	(17,877)	80,676
15. Insuraserive (Private) Limited	160,963	85,669	340,639	415,234
16. L. A. Guard Insurance Brokers	95,158	104,196	101,307	102,332
17. Marsh Insurance Brokers	580,570	776,994	859,008	685,020
18. Matden Reinsurance Brokers	11,337	8,713	7,762	10,843
19. Minerva Risk Solutions**	2,493,162	2,452,415	1,448,615	672,692
20. Momentum Insurance Brokers	363,232	310,544	490,260	373,269
21. Navistar Insurance Brokers	93,016	121,041	105,852	109,232
22. Paul Mkondo Insurance Brokers	133,567	126,484	161,819	167,315
23. Perpro Insurance Brokers	98,812	133,345	144,946	157,965
24. Progressive Insurance Brokers	624,873	348,753	653,518	654,910
25. Rainbow Insurance Brokers	6,842	390,560	8,678	10,847
26. SATIB Insurance Brokers	1159,944	181,616	163,359	177,368
27. TIB Insurance Brokers	57,817	107,663	116,656	103,123
28. Victory Insurance Brokers	328,580	419,443	438,646	431,511
29. Zimbabwe Insurance Brokers	298,601	300,496	300,956	293,739

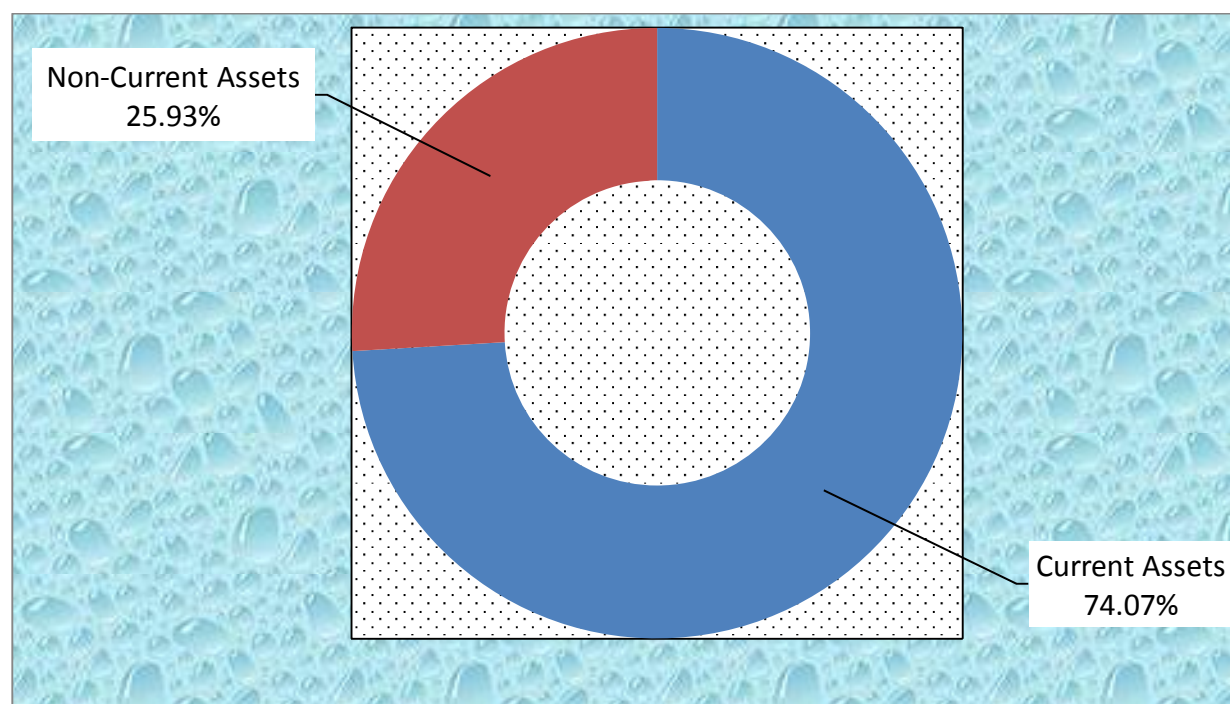
*The company only started operating in the third quarter

***The capital base as at 31 December 2012 and 31 March 2013 was for the then Aon Zimbabwe before its subsidiaries started reporting separately.*

3.5 Asset Quality

The asset base for insurance brokers increased marginally from \$23.67 million as at 30 June 2013 to \$23.79 million as at 30 September 2013. The distribution of assets remained largely unchanged with current assets contributing for 74.07% of total assets. The major components of current assets remained commission receivable and cash & cash equivalents which accounted for 47.93% and 30.04% of current assets respectively. Figure 23 below shows the breakdown of assets as at 30 September 2013.

Figure 23: Breakdown of Insurance Brokers' Total Assets



3.6 Market Share for Insurance Brokers

Insurance brokers reported Herfindahl Indices of 0.08 and 0.07 in terms of brokerage income and total assets respectively. The market leaders in terms of brokerage income were Minerva Risk Solutions, Marsh Insurance Brokers Zimbabwe and Alexander Forbes Risk Services Zimbabwe with market shares of 18.99%, 8.68% and 7.87% respectively. In terms of total assets Minerva Risk Solutions, Marsh Insurance Brokers Zimbabwe and HRIB Insurance Brokers were the market leaders. Figures 24 and 25 below show the market shares for insurance brokers.

Figure 24: Market Share for Insurance Brokers in Terms of Income and Premium Written

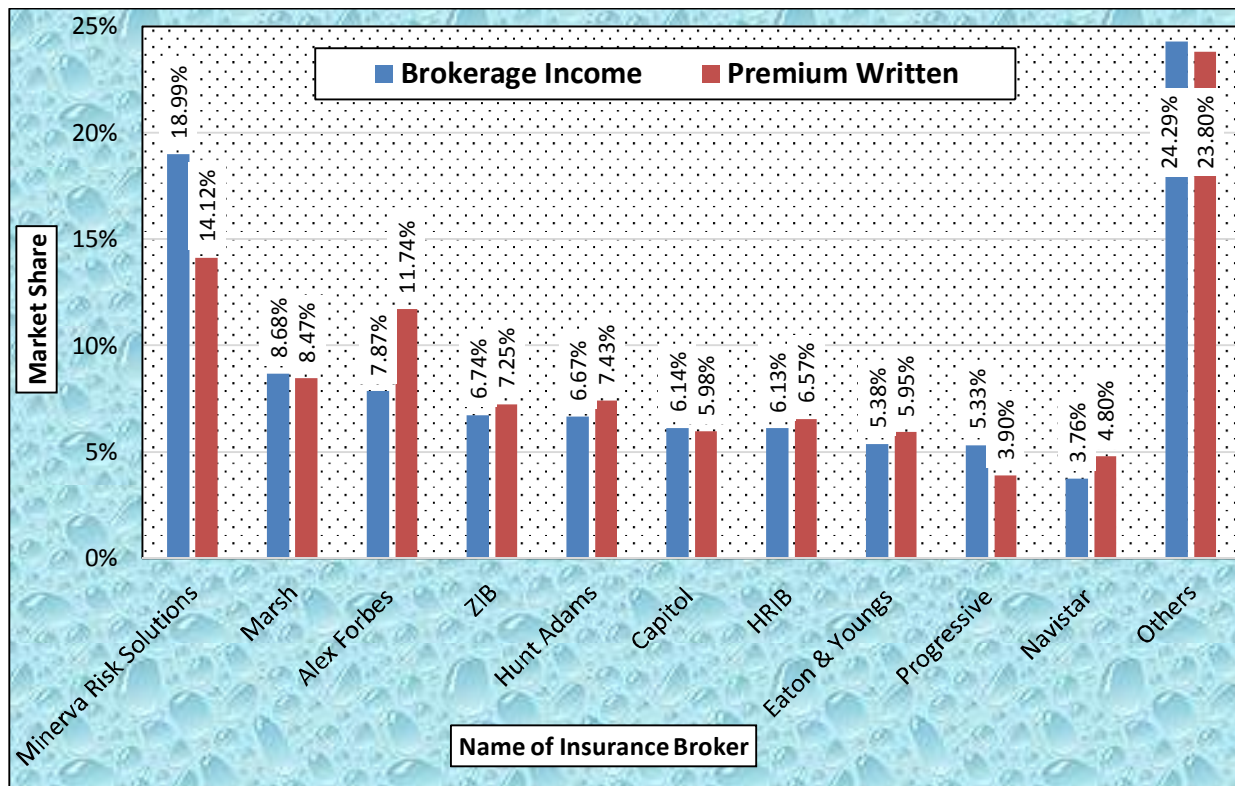
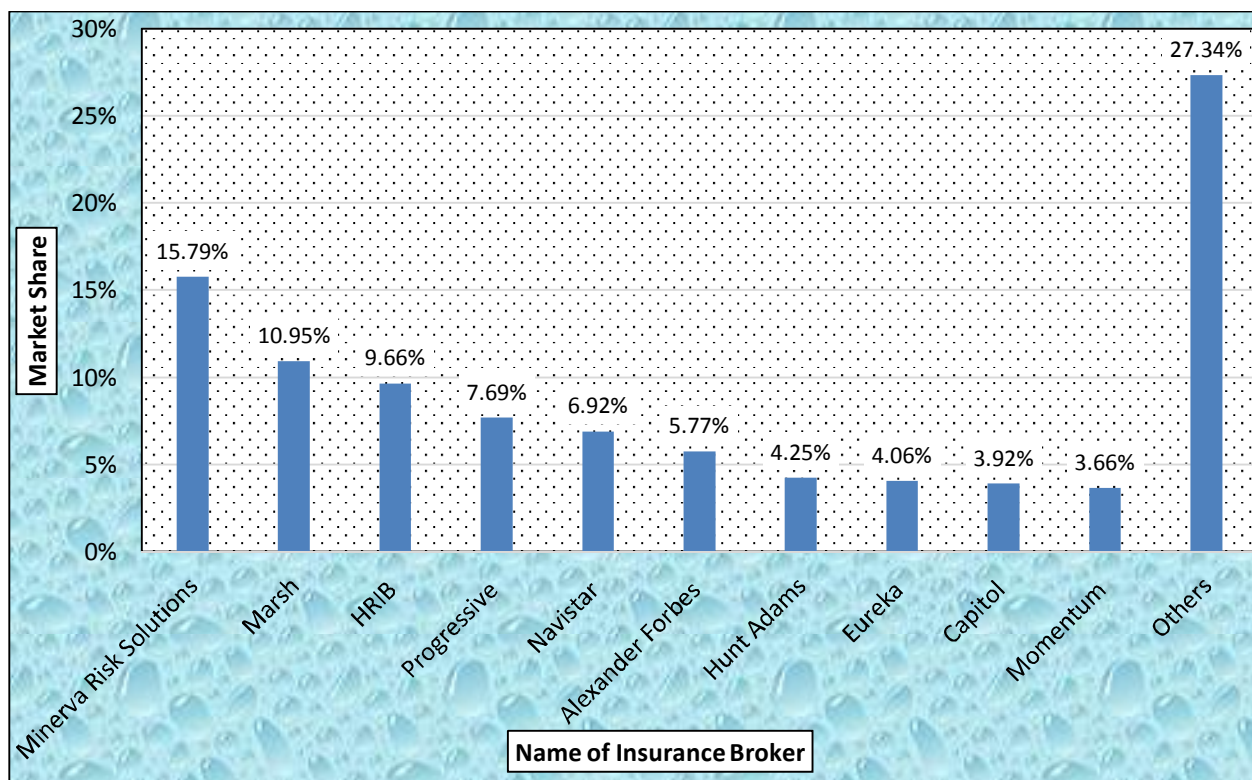


Figure 25: Market Share for Insurance Brokers in Terms of Total Assets



SECTION D
4. REINSURANCE BROKERS

4.1 Number of Reinsurance Brokers

The number of registered reinsurance brokers as at 30 September 2013 remained three, the same number reported as at 30 June 2013.

4.2 Business Written

Total premiums written by reinsurance brokers amounted to \$45.48 million for the nine months ended 30 September 2013. Reinsurance brokers' premium accounted for 62.13% of the total gross premium generated by non-life reinsurers from within the country. This indicates that the bulk of business generated by reinsurers was sourced through reinsurance brokers.

Reinsurance brokers reported brokerage Commission of \$8.92 million which accounted for 19.60% of total premium written. However, the commission generated was constrained by the commission paid to agents which resulted in net brokerage commission accounting for only 3.98% of premium written.

Table 9: Indicators of Business Written for Reinsurance Brokers (\$)

Indicator	30 September 2013
Premium Written	45,478,746
Brokerage Commission	8,915,432
Premium Written Less Commission	36,563,314
Commission Paid	7,104,341
Net Brokerage Commission	1,811,091
Other Income	86,125
Operating Expenses	1,063,830
Profit Before Tax	833,386
Taxation	217,295
Profit After Tax	616,090

4.3 Capitalization

As shown in Table 10 below, all the reinsurance brokers reported capital positions which were above \$100,000 as at 30 September 2013.

Table 10: Reported Capital Levels for Reinsurance Brokers (\$)

Name of Reinsurance Broker	31-Dec-12	31-Mar-13	30-Jun-13	30-Sep-13
1. Minerva Re (Private) Limited*	2,493,162	2,452,415	1,751,197	1,085,991
2. Pan African Re	155,847	181,767	271,257	304,669
3. Reinsurance Brokers International	125,461	133,614	127,076	130,786

**The capital base as at 31 December 2012 and 31 March 2013 was for the then Aon Zimbabwe before its subsidiaries started reporting separately.*

4.4 Earnings for Reinsurance Brokers

Total profit after tax for reinsurance brokers amounted to \$0.62 million during the nine months ended 30 September 2013. The reinsurance brokers' industry average return on equity (ROE) and return on assets (ROA) for the period under review were 40.49% and 3.30% respectively.

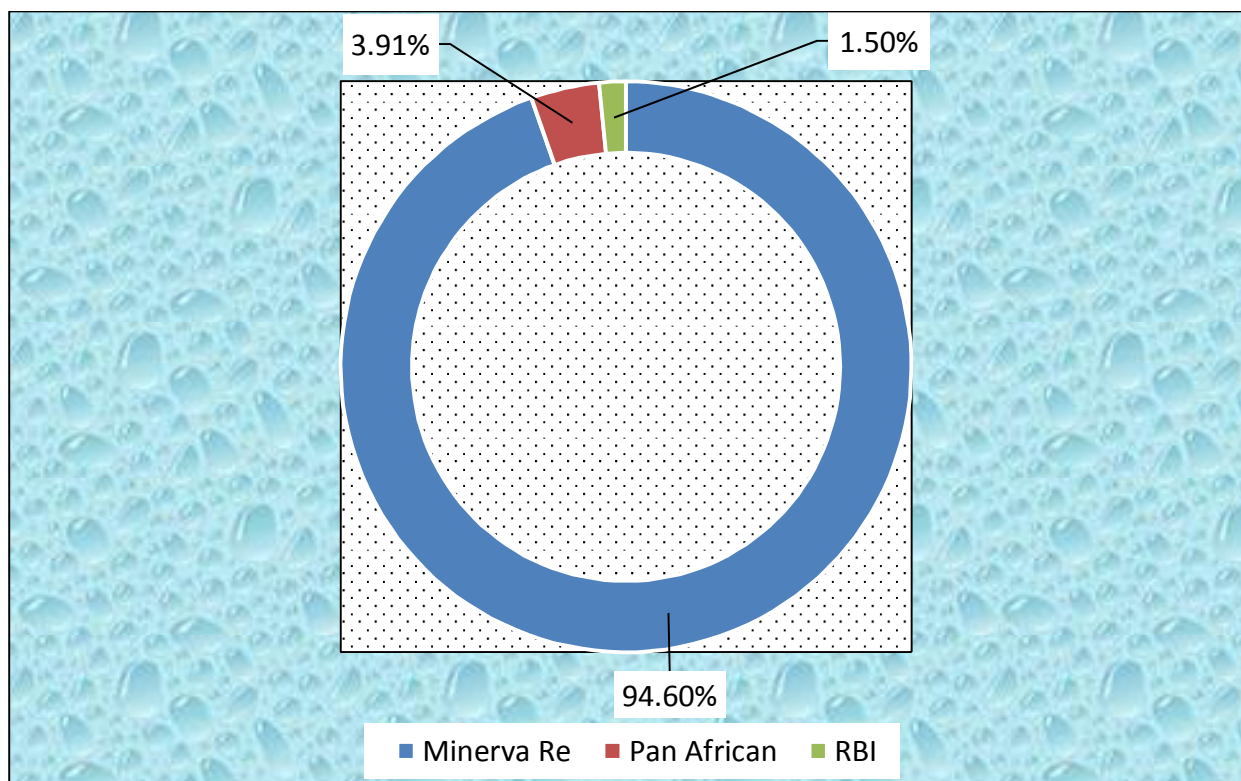
4.5 Asset Quality

Total assets for reinsurance brokers increased from \$15.42 million as at 30 June 2013 to \$18.68 million as at 30 September 2013. The growth in total assets was mainly driven by an increase in commission receivable from \$9.19 million as at 30 June 2013 to \$12.73 million as at 30 September 2013.

4.6 Market Share for Reinsurance Brokers

Minerva Re (Private) Limited continued to be the market leader with a market share of 94.60% in terms of brokerage commission. Figure 26 below shows the market share for reinsurance brokers in terms of brokerage income for the period under review.

Figure 26: Market Share for Reinsurance Brokers in Terms of Brokerage Income



SECTION E

5. APPENDICES

Please note that the figures for Zep-Re are only for the institution's Zimbabwean Country Office and not for the company as a whole.

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	Appendix 1B: Statements of Financial Position for Non-life Insurers US\$'000																							
	Alliance	Allied	Altfin	C.B.Z	Cell	Champions	Clarion	Credsure	Eagle	Evolution	Excellence	Global	Hamilton	Heritage	KMFS	Nicoz	Quality	Regal	RM	Sanctuary	Tetrad Hall	Tristar	Zimnat Lion	Total
ASSETS																								
Non-Current Assets																								
Fixed Assets	874	409	368	318	469	1,429	640	2,148	3,050	985	234	784	476	2,638	120	1,866	293	2,280	1,208	66	1,413	228	1,070	23,368
Investments	1,097	90	1,126	428	389	50	11	452	163	250	10	46	402	1,138	551	3,945	1,445	1	2,807	1	2,428	1,606	3,799	22,235
	1,971	499	1,494	747	858	1,479	651	2,599	3,213	1,235	244	830	878	3,776	671	5,811	1,738	2,282	4,015	67	3,841	1,834	4,869	45,602
Technical Assets																								
Reinsurers' Share of O/S Claims	1,515	112	2,332	165	1,238	302	146	36	256	17	14	60	59	-	255	926	65	6	1,673	-	119	-	1,340	10,636
Deferred Acquisition Cost (DAC)	453	109	99	1,422	238	-	128	-	(136)	22	16	282	-	258	51	869	221	6	651	-	649	92	427	5,857
	1,968	221	2,431	1,587	1,477	302	274	36	120	40	30	341	59	258	306	1,795	286	12	2,325	-	768	92	1,767	16,494
Current Assets																								
Premium Receivables	6,154	1,412	1,900	1,406	2,449	2,932	563	1,344	1,277	515	212	672	193	2,547	538	5,556	170	23	950	-	852	1,841	1,918	35,421
Money Market Investments	4,713	106	-	557	-	14	1,017	343	1,420	-	9	376	78	378	-	1,430	40	-	8,585	500	-	1,347	736	21,650
Cash & cash equivalents	191	338	33	227	3,150	137	45	92	307	344	36	4	67	184	13	3,606	123	54	2,635	24	1,061	78	757	13,507
Inventory and Other Debtors	1,549	14	1,554	155	4,144	831	1,091	361	272	31	66	33	136	488	553	1,226	163	971	481	148	158	860	987	16,272
	12,607	1,871	3,487	2,346	9,744	3,914	2,715	2,140	3,276	889	323	1,085	473	3,596	1,104	11,818	496	1,048	12,650	672	2,071	4,126	4,399	86,850
TOTAL ASSETS	16,546	2,591	7,412	4,679	12,079	5,695	3,640	4,775	6,610	2,164	597	2,256	1,410	7,630	2,081	19,424	2,520	3,341	18,990	739	6,680	6,052	11,035	148,946
LIABILITIES																								
Deferred Tax Liabilities	-	-	244	-	-	(56)	30	-	67	12	19	14	-	35	-	467	(128)	28	-	37	418	124	91	1,401
Long Term loan	-	13	-	-	-	-	-	-	-	-	-	-	-	143	200	203	-	-	-	-	-	-	800	1,359
Current Tax provisions	105	70	-	65	-	73	48	172	135	51	15	-	-	(17)	59	-	39	162	323	-	-	80	22	1,401
Gross Outstanding Claims	2,645	214	3,474	470	1,889	726	635	66	690	192	58	249	79	968	395	1,647	133	29	1,703	-	132	506	2,118	19,020
IBNR	4,387	48	286	113	244	110	46	174	277	11	17	6	76	220	26	663	21	83	1,262	14	77	216	527	8,905
UPR	2,263	751	644	964	3,148	241	937	114	898	65	53	412	50	1,293	266	4,345	1,064	231	4,264	146	727	1,612	1,943	26,433
Reinsurance & Other Creditors	3,505	684	738	995	2,655	3,203	-	618	1,657	274	104	439	167	2,945	120	1,707	17	87	528	44	541	1,427	1,812	24,268
Other Creditors	-	58	907	430	-	169	305	234	316	134	148	72	5	112	206	1,076	32	325	988	64	1,238	920	61	7,799
TOTAL LIABILITIES	12,906	1,837	6,293	3,037	7,936	4,466	2,000	1,379	4,040	739	415	1,193	378	5,699	1,273	10,108	1,178	944	9,068	305	3,134	4,885	7,373	90,586
SHAREHOLDERS' EQUITY																								
Share Capital	301	15	300	51	620	382	1,300	2	1	120	-	40	500	850	400	2,834	120	1,860	300	100	1,000	1	553	11,648
Share Premium	-	276	625	590	-	-	25	1,824	2,800	-	-	796	1,500	-	637	3,291	-	-	-	1,144	-	-	1,241	14,750
Revaluation & Other Reserves	1,141	-	422	-	-	3	86	167	137	7	287	179	-	30	-	-	49	243	1,949	-	782	3,680	-	9,163
Retained Profit	2,198	462	(228)	1,001	3,523	845	229	1,403	(368)	1,297	(115)	48	(969)	1,051	(229)	3,191	1,173	293	7,673	109	1,764	(2,513)	1,868	23,708
Shareholders's Equity	3,640	754	1,119	1,642	4,143	1,229	1,640	3,397	2,570	1,424	171	1,063	1,031	1,931	808	9,316	1,342	2,396	9,922	1,353	3,547	1,167	3,662	59,269
TOTAL EQUITY & LIABILITIES	16,546	2,591	7,412	4,679	12,079	5,695	3,640	4,775	6,610	2,164	587	2,256	1,410	7,630	2,081	19,424	2,520	3,341	18,990	1,658	6,680	6,052	11,035	149,855

	Appendix 1C: Key Performance Indicators for Non-life Insurers																					
	Alliance	Allied	Altfin	C.B.Z	Cell	Champions	Clarion	Credsure	Eagle	Evolution	Excellence	Global	Hamilton	Heritage	KMFS	Nicoz	Quality	Regal	RM	Sanctuary	Tetrad	Hail
Indicator																						
Capital Adequacy																						
Capital Position (\$000)	3,640	754	1,119	1,642	4,143	1,229	1,640	3,397	2,570	1,424	171	1,063	1,031	1,931	808	9,316	1,342	2,396	9,922	1,353	3,547	1,167
Capital Maintenance Ratio (CMR)	242.66%	50.25%	74.60%	109.45%	276.19%	81.96%	109.37%	226.44%	171.32%	94.96%	11.43%	70.90%	68.77%	128.73%	53.86%	621.07%	89.47%	159.77%	661.45%	90.21%	236.45%	77.83%
Equity/Total Assets Ratio	22.00%	29.09%	15.10%	35.09%	34.30%	21.59%	45.07%	71.13%	38.88%	65.83%	28.72%	47.14%	73.18%	25.31%	38.83%	47.96%	53.25%	71.73%	52.25%	183.08%	53.09%	19.29%
Solvency Margin	25.66%	101.56%	18.84%	57.58%	102.41%	36.65%	68.14%	144.37%	47.83%	79.82%	36.51%	77.41%	118.37%	38.08%	60.51%	65.82%	83.91%	84.38%	67.00%	883.81%	199.60%	25.20%
Asset Quality																						
Total Assets (\$000)	16,546	2,591	7,412	4,679	12,079	5,695	3,640	4,775	6,610	2,164	597	2,256	1,410	7,630	2,081	19,424	2,520	3,341	18,990	739	6,680	6,052
Investments to Assets	36.27%	20.65%	15.64%	25.92%	29.30%	3.53%	29.47%	18.58%	28.60%	27.46%	9.16%	18.87%	38.76%	22.28%	27.14%	46.24%	63.81%	1.64%	73.86%	70.96%	52.23%	50.07%
Non-Profitable Assets/Total Assets	63.73%	79.35%	84.36%	74.08%	70.70%	96.47%	70.53%	81.42%	71.40%	72.54%	90.84%	81.13%	61.24%	77.72%	72.86%	53.76%	36.19%	98.36%	26.14%	29.04%	47.77%	49.93%
Investment in Fixed Assets/Total Assets	5.28%	15.78%	4.96%	6.81%	3.88%	25.10%	17.58%	44.97%	46.15%	45.52%	39.24%	34.76%	33.74%	34.57%	5.77%	9.61%	11.63%	68.25%	6.36%	8.99%	21.15%	3.77%
Premium Debtors/Gross Premium	38.33%	96.95%	54.24%	23.98%	11.81%	33.89%	19.28%	32.82%	12.74%	19.99%	38.09%	43.52%	14.62%	36.56%	85.73%	27.33%	10.46%	1.92%	4.49%	0.00%	39.57%	31.25%
Premium Debtors/Total Assets	37.19%	54.50%	25.63%	30.04%	20.28%	51.48%	15.45%	28.14%	19.32%	23.78%	35.53%	29.77%	13.69%	33.38%	25.83%	28.60%	6.75%	0.68%	5.00%	0.00%	12.75%	30.42%
Reinsurance																						
Risk Retention Ratio	41.51%	83.79%	67.17%	40.63%	40.03%	31.93%	94.49%	52.17%	41.11%	48.17%	77.16%	67.80%	57.71%	48.10%	84.33%	65.29%	83.57%	98.55%	67.66%	78.88%	32.84%	54.89%
Reinsurance Creditors/Reinsurance Premium	37.32%	289.48%	64.17%	28.58%	21.34%	54.39%	0.00%	31.57%	28.05%	20.54%	81.88%	88.42%	29.96%	81.47%	122.58%	24.20%	6.37%	506.20%	7.70%	79.76%	37.45%	53.71%
Reinsurers' Share of O/S Claims to O/S Claims	57.28%	52.16%	67.13%	35.09%	65.56%	41.58%	22.95%	54.23%	37.10%	9.07%	25.00%	23.95%	73.82%	0.00%	64.53%	56.22%	48.87%	20.00%	98.26%		90.00%	0.00%
Actuarial																						
UPR (\$000)	2,263	751	644	964	3,148	241	937	114	898	65	53	412	50	1,293	266	4,345	1,064	231	4,264	146	727	1,612
IBNR (\$000)	4,387	48	286	113	244	110	46	174	277	11	17	6	76	220	26	663	21	83	1,262	14	77	216
Technical Reserves/Capital	182.71%	105.98%	83.11%	65.65%	81.87%	28.56%	59.90%	8.49%	45.72%	5.31%	40.91%	39.33%	12.26%	78.34%	36.21%	53.76%	80.85%	13.11%	55.70%	10.77%	22.68%	156.64%
(Outstanding Claims+IBNR)/Capital	151.58%	19.98%	127.61%	25.48%	21.60%	43.48%	32.62%	6.02%	27.67%	13.01%	35.31%	18.42%	9.40%	117.09%	20.63%	14.86%	6.63%	4.43%	13.02%	1.07%	2.54%	61.87%
Earnings																						
Profit After Tax (\$000)	304	302	(318)	470	3,573	104	255	406	490	90	293	48	202	247	(149)	729	290	(87)	2,773	(2)	110	(551)
Return on Equity	8.35%	40.01%	-28.42%	28.63%	86.24%	8.43%	15.54%	11.94%	19.06%	6.32%	171.08%	4.55%	19.63%	12.81%	-18.44%	7.83%	21.61%	-3.64%	27.95%	-0.15%	3.09%	-47.19%
Return on Assets	1.84%	11.64%	-4.29%	10.05%	29.58%	1.82%	7.00%	8.49%	7.41%	4.16%	49.14%	2.15%	14.36%	3.24%	-7.16%	3.75%	11.51%	-2.61%	14.60%	-0.28%	1.64%	-9.10%
Loss Ratio	56.45%	29.30%	61.36%	31.76%	30.56%	22.03%	35.76%	28.71%	40.13%	49.90%	4.35%	47.93%	19.06%	41.22%	90.39%	46.28%	45.06%	37.51%	44.91%	107.26%	136.60%	40.08%
Net Commission Ratio	4.17%	12.07%	-2.72%	-3.93%	-3.58%	-3.06%	7.47%	-9.07%	6.32%	13.44%	10.42%	9.73%	2.58%	1.82%	6.77%	14.69%	23.87%	2.33%	9.85%	2.11%	-101.46%	4.03%
Net Expense Ratio	39.56%	34.78%	64.61%	48.51%	30.17%	88.11%	46.42%	61.50%	41.57%	32.46%	43.37%	41.71%	48.25%	52.94%	172.83%	32.00%	30.45%	69.10%	27.16%	311.45%	173.64%	70.84%
Combined Ratio	100.18%	76.16%	123.25%	76.34%	57.15%	107.08%	89.64%	81.15%	88.02%	95.80%	58.13%	99.37%	69.89%	95.99%	269.98%	92.96%	99.38%	108.94%	81.92%	420.82%	208.78%	114.94%
Underwriting Margin	-0.18%	23.84%	-23.25%	23.66%	42.85%	-7.08%	10.36%	18.85%	11.98%	4.20%	41.87%	0.63%	30.11%	4.01%	-169.98%	7.04%	0.62%	-8.94%	18.08%	-320.82%	-108.78%	-14.94%
Investment Income/NPW Ratio	4.60%	0.76%	0.04%	2.20%	2.09%	0.62%	0.15%	2.50%	2.46%	1.81%	4.31%	3.69%	0.15%	6.16%	0.00%	1.27%	1.69%	0.09%	7.33%	53.00%	43.76%	-1.55%
Investment Income/Total Financial Assets	5.11%	1.73%	0.09%	4.32%	4.91%	8.50%	0.39%	6.01%	5.37%	3.78%	33.83%	9.06%	0.21%	12.14%	0.00%	1.88%	1.43%	1.96%	7.48%	20.93%	8.86%	-1.66%
Liquidity																						
Working Capital (\$000)	1,669	325	532	1,326	3,285	(81)	1,294	1,032	(328)	323	86	306	159	(1,590)	542	4,784	(364)	440	6,895	431	944	253
Current ratio	112.93%	118.42%	109.88%	150.85%	141.39%	98.11%	176.35%	190.17%	91.20%	153.42%	132.27%	127.28%	142.53%	70.80%	162.49%	154.19%	68.24%	170.98%	185.33%	278.29%	149.81%	106.38%
Acid Test ratio	38.00%	25.18%	0.61%	30.10%	39.70%	3.51%	62.66%	38.08%	46.39%	56.82%	16.92%	33.92%	38.67%	10.31%	1.53%	57.04%	14.22%	8.65%	138.85%	216.95%	56.00%	35.92%
Market Shares																						
Market Share Based on GWP	10.47%	0.95%	2.28%	3.82%	13.52%	5.64%	1.90%	2.67%	6.54%	1.68%	0.36%	1.01%	0.86%	4.54%	0.41%	13.25%	1.06%	0.77%	13.80%	0.17%	1.40%	3.84%
Market Share Based on NWP	8.25%	1.51%	2.91%	2.95%	10.27%	3.42%	3.41%	2.64%	5.10%	1.53%	0.53%	1.29%	0.94%	4.14%	0.65%	16.42%	1.68%	1.45%	17.73%	0.26%	0.87%	4.00%
Market Share Based on Total Assets	11.11%	1.74%	4.98%	3.14%	8.11%	3.82%	2.44%	3.21%	4.44%	1.45%	0.40%	1.51%	0.95%	5.12%	1.40%	13.04%	1.69%	2.24%	12.75%	0.50%	4.49%	4.06%

[illegible]

Appendix 2B: Statement of Financial Position-Reinsurers US\$'000										
	Baobab	Collonade	FBC Re	FMRE	Grand Re	New Re	Tropical	ZB Re	Zep-Re	Total
ASSETS										
Non-Current Assets										
Fixed Assets	587	553	317	350	436	273	785	584	469	4,355
Investments	33,802	68	3,236	1,874	8,807	15	205	1,731	660	50,397
	34,390	621	3,552	2,224	9,243	288	991	2,315	1,129	54,753
Technical Assets										
Reinsurers' Share of Outstanding	1,918	150	3,848	676	363	-	1,595	-	-	8,551
Deferred Acquisition Cost (DAC)	1,615	36	870	704	598	-	190	-	294	4,306
	3,533	186	4,718	1,380	961	-	1,785	-	294	12,858
Current Assets										
Premium Receivables	4,714	2,778	2,581	3,220	1,916	965	1,932	2,454	894	21,452
Money Market Investments	285	495	50	81	209	711	2,375	86	60	4,351
Cash & cash equivalents	182	57	7,626	4,510	119	261	441	7,318	22	20,537
Inventory and Other Debtors	4,417	167	146	572	33	47	201	222	-	5,806
	9,598	3,497	10,403	8,383	2,277	1,984	4,949	10,080	976	52,147
TOTAL ASSETS	47,521	4,304	18,674	11,987	12,481	2,272	7,725	12,395	2,399	119,757
Liabilities										
Deferred Tax Liabilities	-	-	(315)	73	171	-	70	207	-	204
Current Tax provisions	460	60	45	-	54	80	-	262	-	961
Long term loan	-	-	-	-	300	-	-	-	-	300
IBNR	665	-	893	1,247	-	167	957	1,010	-	4,939
Gross Outstanding Claims	3,998	330	5,628	936	690	42	1,823	245	903	14,595
UPR	4,005	891	2,665	2,582	1,147	491	950	1,960	943	15,633
Retrocession Creditors	6,980	-	1,584	1,162	295	425	1,524	1,042	-	13,013
Other Creditors	1,322	1,565	-	116	243	60	163	946	-	4,416
Total Liabilities	17,431	2,846	10,500	6,115	2,900	1,265	5,486	5,672	1,846	54,060
SHAREHOLDERS' EQUITY										
Share Capital	400	558	600	1	400	700	0	6	(924)	1,742
Share Premium	26,401	548	2,203	3,934	-	-	410	2,494	-	35,990
Revaluation & Other Reserves	6,462	-	2,870	254	5,260	182	-	11	-	15,039
Retained Profit	(3,173)	352	2,501	1,684	3,921	125	1,829	4,212	1,477	12,927
Shareholders's Equity	30,091	1,458	8,174	5,872	9,581	1,007	2,239	6,722	553	65,697
TOTAL EQUITY & LIABILITIES	47,521	4,304	18,674	11,987	12,481	2,272	7,725	12,395	2,399	119,757

	Appendix 2C: Key performance Indicators for Reinsurers									
	Baobab Re	Colonnade	FBC Re	FMRE	Grand Re	New Re	Tropical Re	ZB Re	Zep - Re	Total/Average
Indicator										
Capital Adequacy										
Shareholders' Equity (Capital Base) \$ 000	30,091	1,458	8,174	5,872	9,581	1,007	2,239	6,722	553	7,300
Capital Maintenance Ratio (CMR)	2006.04%	97.20%	544.92%	391.50%	638.73%	67.13%	149.29%	448.16%	36.84%	486.64%
Equity/Total Assets Ratio	63.32%	33.87%	43.77%	48.99%	76.77%	44.32%	28.99%	54.24%	23.04%	54.86%
Solvency Margin	88.43%	82.23%	69.04%	66.82%	161.35%	103.81%	29.36%	50.12%	17.80%	75.10%
Asset Quality										
Total Assets (\$ 000)	47,521	4,304	18,674	11,987	12,481	2,272	7,725	12,395	2,399	119,757
Investments to Assets	72.11%	14.41%	58.43%	53.93%	73.19%	43.44%	39.11%	73.70%	30.94%	62.87%
Non-Profitable Assets/Total Assets	27.89%	85.59%	41.57%	46.07%	26.81%	56.56%	60.89%	26.30%	69.06%	37.13%
Investment in Fixed Assets/Total Assets	1.24%	12.86%	1.70%	2.92%	3.50%	12.02%	10.17%	4.71%	19.54%	3.64%
Premium Debtors/Gross Premium	37.02%	71.36%	22.94%	19.41%	48.68%	56.66%	22.07%	15.78%	22.39%	27.37%
Premium Debtors/Total Assets	9.92%	64.53%	13.82%	26.86%	15.35%	42.47%	25.01%	19.79%	37.27%	17.91%
Reinsurance										
Risk Retention Ratio	83.27%	58.74%	79.69%	61.58%	61.22%	74.69%	78.71%	61.93%	88.48%	71.18%
Retrocession Creditors/Retrocession Premium	327.74%	0.00%	69.34%	18.23%	19.34%	98.61%	81.79%	17.61%	0.00%	57.61%
Reinsurers' Share of O/S Claims to O/S Claims	47.98%	45.61%	68.37%	72.29%	52.56%	0.00%	87.51%	0.00%	0.00%	58.59%
Actuarial										
UPR	4,005	891	2,665	2,582	1,147	491	950	1,960	943	15,633
IBNR	3,998	330	5,628	936	690	42	1,823	245	903	14,595
Technical Reserves/Capital	26.59%	83.77%	101.45%	59.90%	19.18%	52.93%	123.82%	32.80%	334.08%	46.01%
(Outstanding Claims+IBNR)/Capital	15.50%	22.63%	79.78%	37.17%	7.20%	20.75%	124.13%	32.80%	163.47%	29.73%
Earnings										
Profit After Tax	388	366	1,587	970	(163)	208	721	949	1,477	6,503
Return on Equity	1.29%	25.12%	19.42%	16.52%	-1.71%	20.66%	32.19%	14.12%	267.21%	9.90%
Return on Assets	0.82%	8.51%	8.50%	8.10%	-1.31%	9.15%	9.33%	7.66%	61.56%	5.43%
Loss Ratio	28.00%	19.68%	30.37%	35.34%	37.71%	8.85%	52.31%	41.40%	18.74%	34.43%
Net Commission Ratio	30.61%	24.71%	35.35%	27.34%	21.95%	35.86%	25.59%	26.95%	31.40%	28.96%
Net Expense Ratio	43.43%	34.57%	17.90%	24.70%	44.55%	31.20%	11.16%	26.21%	4.29%	26.23%
Combined Ratio	102.04%	78.96%	83.63%	87.38%	104.22%	75.91%	89.07%	94.56%	54.43%	89.62%
Underwriting Margin	-2.04%	21.04%	16.37%	12.62%	-4.22%	24.09%	10.93%	5.44%	45.57%	10.38%
Investment Income/NPW Ratio	6.25%	0.44%	7.23%	3.02%	-1.00%	1.02%	1.66%	7.48%	1.82%	4.51%
Investment Income/Total Financial Assets	1.95%	8.09%	5.97%	4.84%	-0.27%	4.71%	17.70%	7.96%	9.42%	3.55%
Liquidity										
Working Capital	(2,977)	2,403	4,621	3,764	881	779	1,411	5,354	(576)	15,660
Current ratio	81.52%	287.56%	144.01%	162.76%	137.37%	164.65%	126.51%	213.29%	68.79%	131.74%
Acid Test ratio	2.90%	43.14%	73.10%	76.54%	13.91%	80.66%	52.90%	156.67%	4.44%	50.44%
Market Shares										
Market Share Based on GPW	16.24%	4.97%	14.35%	21.16%	5.02%	2.17%	11.17%	19.83%	5.09%	100%
Market Share Based on NPW	19.00%	4.10%	16.07%	18.30%	4.32%	2.28%	12.35%	17.25%	6.33%	100%
Market Share Based on Total Assets	39.68%	3.59%	15.59%	10.01%	10.42%	1.90%	6.45%	10.35%	2.00%	100%

									APPENDIX 3A:Statement Of Comprehensive Income for Brokers US\$'000																									
	Alexander Forbes	Ambassador	Armour Khan	Auto & General	Broksure	Capitol	Care	Eaton & Youngs	Eureka	Glenrand	Goldstick	Hostcare	HRIB	Hunt Adams	Insuraserve	L.A.Guard	Marsh	Matden	Minerva - Risk Solutions	Momentum	Navistar	Paul Mkondo	Perpro	Progressive	Rainbow	SATIB	TIB	Victory	ZIB	Total				
GPW	8,524	83	478	184	457	4,340	1,706	4,323	1,992	2,128	355	4	4,768	5,392	1,775	43	6,148	287	10,255	2,564	3,483	45	314	2,834	77	2,289	1,863	642	5,265	72,616				
Gross Premium Payable	7,486	50	402	162	393	3,530	1,420	3,613	1,528	1,753	283	3	3,960	4,513	1,489	38	5,004	270	7,750	2,103	2,987	25	229	2,131	64	1,873	1,480	517	4,375	59,430				
Brokerage Commission	1,038	32	76	22	64	810	286	710	464	375	72	1	808	880	287	5	1,144	17	2,505	462	496	20	85	703	13	416	383	125	889	13,187				
less Commission paid	56	-	-	2	-	-	-	12	-	23	13	-	172	38	-	-	5	-	-	-	-	2	5	157		-	-	-	-	485				
Net Brokerage Commission	982	32	76	20	64	810	286	698	464	351	58	1	636	842	287	5	1,140	17	2,505	462	496	18	81	546	13	416	383	125	889	12,702				
Other Income	35	3	-	36	-	3	0	72	51	61	3	3	0	29	37	27	11	0	-	155	3	47	133	280	-	-	30	17	196	1,233				
Admin Expenses	999	23	69	54	49	642	286	593	504	691	14	3	579	859	275	30	728	17	2,232	466	491	42	169	799	17	402	407	126	1,079	12,644				
Profit Before Tax	19	13	7	3	15	171	0	178	10	(279)	48	0	57	12	49	3	422	0	273	150	8	23	44	27	(4)	14	6	17	6	1,292				
Taxation	5	2	2	1	4	-	1	49	-	-	-	0	15	-	13	2	115	-	70	38	3	2	1	-	-	-	-	5	9	336				
Profit after Tax	14	10	5	2	11	171	(1)	128	10	(279)	48	0	42	12	36	0	307	0	203	113	6	21	43	27	(4)	14	6	12	(3)	956				

	APPENDIX 3B:STATEMENT OF FINANCIAL POSITION-US\$('000)																													
	Alexander Forbes	Ambassador	Armour Khan	Auto & General	Broksure	Capitol	Care	Eaton & Youngs	Eureka	Glenrand	Goldstick	Hostcare	HRIB	Hunt Adams	Insuraverse	LA Guard	Marsh	Matden	Minerva	Momentum	Navistar	Paul Mkondo	Perpro	Progressive	Rainbow	SATIB	TIB	Victory	ZIB	Total
LIABILITIES																														
shareholder's Equity																														
Share Capital	974	129	32	310	20	116	77	100	50	50	0	5	1	1	330	100	5	0	12	100	65	20	40	120	15	100	50	200	50	3,072
Share Premium	-	-	-	99	68	-	37	-	-	-	-	-	-	175	-	-	-	10	59	-	0	126	-	-	-	-	-	183	-	757
Non-Distributable Reserves	52	-	100	35	12	-	-	82	18	58	70	141	21	134	-	-	412	-	375	319	13	22	20	100	-	-	42	10	188	2,224
Retained Income	(692)	-	5	1	11	431	19	309	178	242	48	0	124	(230)	85	2	268	1	227	(46)	32	(1)	98	435	(4)	77	11	38	56	1,726
shareholder's Equity	334	129	137	445	112	547	133	491	246	349	118	146	145	81	415	102	685	11	673	373	109	167	158	655	11	177	103	432	294	7,778
Current liabilities																														
Payable Premiums	677	3	402	-	75	176	2	434	72	63	59	-	265	2,322	550	77	1,326	85	2,789	284	1,241	25	-	535	5	13	216	84	82	11,864
Other	316	-	-	4	-	-	-	6	668	12	10	4	-	-	-	-	-	-	294	59	296	15	0	-	-	-	15	6	189	1,894
Brokers commision payable	-	-	-	-	-	-	-	-	-	-	-	-	9	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	9
Provisions	-	-	-	-	-	29	-	-	7	28	-	-	46	-	-	-	-	-	-	-	-	-	-	-	-	-	10	-	36	155
Sundry creditors	-	-	-	-	-	-	1	-	-	3	-	-	8	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	12
Taxation	-	-	-	-	-	-	-	-	14	-	-	-	13	-	-	-	-	-	-	-	-	0	-	-	-	-	18	-	-	44
Other	21	-	-	-	-	74	-	-	-	52	34	-	72	202	-	-	273	7	-	-	-	11	2	324	-	-	18	4	105	1,201
Total Current Liabilities	1,014	3	402	4	75	279	3	440	761	159	102	4	412	2,524	550	77	1,600	92	3,082	343	1,536	51	2	860	5	13	277	94	412	15,178
TOTAL LIABILITIES & EQUITY	1,372	132	539	449	187	839	135	931	1,010	508	224	158	782	2,604	965	179	2,298	105	3,755	871	1,646	219	169	1,830	31	191	380	533	716	23,759
Assets																														
Non - Current Assets																														
Property and Equipment	-	105	42	65	-	-	5	-	-	-	-	150	-	-	-	-	-	-	-	4	2	-	-	-	-	2	1	23	-	400
Land & Buildings	-	-	35	140	-	220	90	189	53	-	115	-	350	-	250	52	150	-	-	-	65	100	-	180	-	100	-	15	181	2,285
Furniture and Fittings	13	-	45	45	14	11	1	69	8	181	5	3	2	6	26	6	33	3	46	13	23	31	19	12	4	4	8	7	10	649
Motor Vehicles	1	-	76	105	20	52	-	-	66	-	10	-	192	133	29	23	17	2	5	72	113	6	40	50	15	-	57	51	26	1,159
Computer Equipment	29	-	10	4	15	5	1	-	14	-	7	-	26	6	8	12	9	-	54	4	9	2	5	1	4	5	11	8	20	269
Computer Software	-	-	-	2	0	-	0	-	-	-	-	-	-	93	-	18	0	-	-	-	-	-	-	1	-	-	-	6	10	130
Investments	-	-	85	35	26	55	22	23	-	147	-	-	-	55	7	-	-	-	-	169	15	40	20	22	-	-	-	135	68	924
Other	-	-	-	-	-	-	-	-	-	-	-	2	45	82	-	-	-	-	-	1	-	6	3	1	-	-	-	200	-	340
Total Non- Current Assets	43	105	293	396	76	343	119	281	141	327	137	155	615	376	319	110	209	5	106	262	227	185	87	267	23	112	78	445	315	6,156
Current Assets																														
Commission Receivable	-	-	76	6	-	4	1	-	-	77	-	1	83	1,629	-	58	839	-	2,908	-	1,388	-	-	1,206	-	35	-	6	130	8,445
Accured Investment Income	-	-	1	18	-	-	-	-	366	-	-	-	-	-	0	2	38	-	-	-	-	13	-	-	-	-	-	21	-	460
Other Debtors & Inventory	697	19	169	-	72	219	1	55	20	45	-	2	17	122	513	6	241	1	(67)	590	20	8	15	356	-	17	157	60	62	3,418
Cash & Cash Equivalents	632	8	-	28	39	273	15	596	483	59	87	0	68	477	133	4	970	99	809	19	10	13	67	1	8	27	145	1	209	5,280
Total Current Assets	1,329	27	246	53	110	496	17	651	869	181	87	3	168	2,229	646	69	2,089	100	3,650	608	1,419	33	82	1,563	8	79	302	88	401	17,602
Total Assets	1,372	132	539	449	187	839	135	931	1,010	508	224	158	782	2,604	965	179	2,298	105	3,755	871	1,646	219	169	1,830	31	191	380	533	716	23,759

Appendix 4A: Statement of Comprehensive Income for Reinsurance Brokers (\$)

	Minerva Re	Pan African	RBI	Total
Premium Written	31,974,837	9,700,577	3,803,332	45,478,746
Premium due to Reinsurers	23,541,215	9,352,208	3,669,891	36,563,314
Brokerage Commission	8,433,622	348,369	133,441	8,915,432
less Commission Paid	7,104,341	-	-	7,104,341
Net Brokerage Commission	1,329,281	348,369	133,441	1,811,091
Other Income	-	28,761	57,364	86,125
Less Administration Expenses	657,883	218,852	187,095	1,063,830
Profit before Tax	671,398	158,278	3,710	833,386
Taxation	172,885	43,455	955	217,295
Profit after Tax	498,513	114,823	2,754	616,090

Appendix 4B: Statement of Financial Position for Reinsurance Brokers (\$)

	Minerva Re	Pan African	RBI	Total
Share Capital	12,000	1,000	200,000	213,000
Share Premium	254,567	84,000	-	338,567
Non-Distributable Reserves	187,678	-	21,172	208,850
Retained Income	631,746	219,669	(90,386)	761,029
Shareholder's Equity	1,085,991	304,669	130,786	1,521,446
Liabilities				
Non-Current Liabilities	-	-	-	-
Current Liabilities				
Payable Premiums	6,752,672	607,894	2,361,026	9,721,592
Other	6,862,776	39,482	-	6,902,258
Brokers Commission Payable	-	-	-	-
Provisions	-	31,183	11,411	42,594
Sundry creditors	-	14,110	72,553	86,663
Taxation	-	-	-	-
Other	314,367	-	94,498	408,865
Total Current Liabilities	13,929,815	692,669	2,539,488	17,161,972
TOTAL LIABILITIES & EQUITY	15,015,806	997,338	2,670,273	18,683,417
Property and Equipment	-	-	-	-
Land & Buildings	-	185,000	-	185,000
Furniture and Fittings	11,007	34,714	-	45,721
Motor Vehicles	-	47,572	-	47,572
Computer Equipment	3,778	17,281	2,175	23,234
Computer Software	7,530	-	-	7,530
Investments	-	-	20,000	20,000
Other	-	-	1,151	1,151
Total Non- Current Assets	22,315	284,567	23,327	330,209
Commission Receivable	12,399,848	326,510	-	12,726,358
Accrued Investment Income	-	-	-	-
Other Debtors & Inventory	247,578	29,675	2,192,413	2,469,666
Cash & Cash Equivalents	2,346,064	356,587	454,533	3,157,184
Total Current Assets	14,993,490	712,772	2,646,947	18,353,209
Total Assets	15,015,805	997,339	2,670,273	18,683,417